BUSINESS & ENTREPRENEURSHIP (INDIA)

Indian Business Compliance & Taxation

GST registration, invoicing, ITC and returns; income tax, presumptive schemes, advance tax and TDS; ROC filings, payroll statutes, audits, notices and a full annual compliance calendar for Indian businesses.

india · gst · income-tax · tds · compliance · roc · mca · presumptive-taxation · input-tax-credit · invoicing · payroll · epf · esic · tax-audit · advance-tax · export-of-services

Study Pack · Comprehensive reference & interview prep · ~141 min read · 30,948 words

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How to Use This Guide

This is a working reference for running an Indian business once it exists — the GST, income tax, TDS, ROC and payroll obligations that arrive every month whether or not you remembered them. It is written for a software engineer running a consulting practice, a SaaS product company or a small services firm, and it assumes you will do a meaningful amount of this yourself and hand the rest to a CA. Every process names the form, the portal, the due date, the penalty and the mistake that triggers a notice.

✕ **This is educational material, not legal, tax or accounting advice**
Indian tax law is amended by every Finance Act and by hundreds of notifications, circulars and instructions each year. Nothing here is advice on your facts. Rates, thresholds, due dates, form numbers and penalties are stated as at **FY 2025-26 / early 2026** and **must be re-verified** against the official portal before you file, claim, deduct or pay. Engage a qualified Chartered Accountant for your returns and a Company Secretary for your ROC filings.

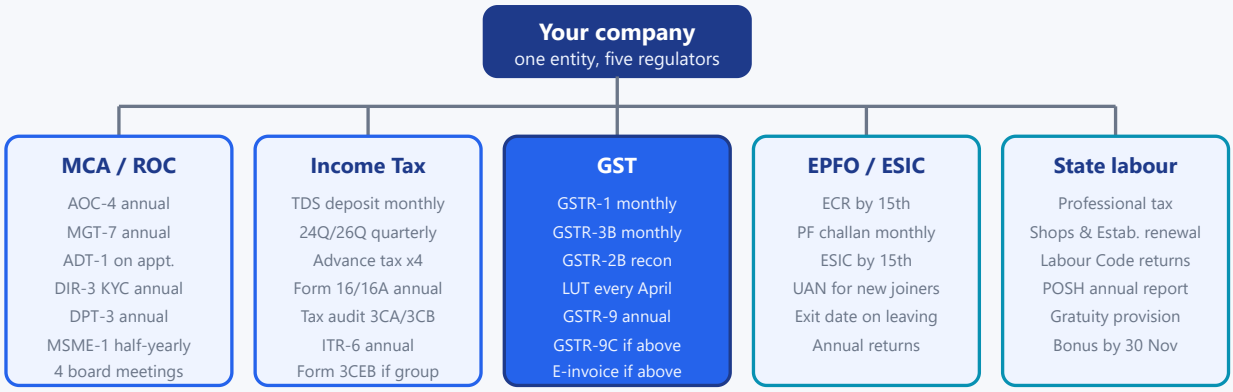
⚠ **Four large changes are in flight — verify current status before relying on anything here**
(1) Income-tax Act, 2025 is scheduled to replace the Income-tax Act, 1961 from **1 April 2026**, introducing a unified **"tax year"** concept in place of the "previous year" / "assessment year" pair. All section numbers in this guide follow the 1961 Act; map them to the new Act before use. **(2) GST rate rationalisation of September 2025** restructured the slabs to principally **5% and 18%** with a **40% demerit rate**. Confirm the rate applicable to your exact HSN or SAC code. **(3) The four Labour Codes** — Code on Wages 2019, Industrial Relations Code 2020, Code on Social Security 2020, and the Occupational Safety, Health and Working Conditions Code 2020 — were brought into force from late 2025, but **state rules are still being notified**. The Codes change the statutory definition of "wages", which changes PF, gratuity and bonus computations and therefore CTC structuring. **(4) The DPDP Act 2023 Rules** were notified in late 2025 with **phased compliance deadlines**. Treat all four as "verify current status".

Official sources

Portal	Authoritative for	You will use it for
incometax.gov.in	Income Tax Department / CBDT	ITR filing, advance tax challans, Form 26AS and AIS, e-proceedings, Form 10-IC/10-IEA, rectification
gst.gov.in	GSTN common portal	Registration, GSTR-1, GSTR-3B, GSTR-9/9C, LUT in RFD-11, refunds, notices in ASMT/DRC series
mca.gov.in	Ministry of Corporate Affairs	AOC-4, MGT-7/7A, ADT-1, DIR-3 KYC, DPT-3, MSME-1, BEN-2
tdscpc.gov.in (TRACES)	TDS Reconciliation Analysis and Correction Enabling System	Form 16/16A download, justification reports, default correction, Form 26QB
epfindia.gov.in	EPFO	ECR upload, challan generation, UAN, employer portal
esic.gov.in	ESIC	Monthly contributions, IP registration
ewaybillgst.gov.in	National Informatics Centre e-way bill system	E-way bills for movement of goods
einvoice1.gst.gov.in	Invoice Registration Portal	IRN generation and QR code for e-invoicing
udyamregistration.gov.in	Ministry of MSME	Udyam certificate, needed for Section 43B(h) protection
State commercial tax portals	Professional tax	PT enrolment, registration, monthly/annual returns

The Compliance Map

A small Indian private limited company with a handful of employees carries obligations to five different authorities, on five different calendars, under five different statutes. Nothing coordinates them. The single most useful thing you can do in your first month is build this map once and turn it into a calendar that someone owns.



The monthly core — what happens every single month

7th TDS deposit · 11th GSTR-1 · 15th PF + ESIC · 20th GSTR-3B · books closed by month-end

What makes this hard

No authority talks to another. No single dashboard. Different logins, different DSCs, different consultants.

Penalties accrue silently and compound. You find out at year end, or when a notice arrives.

The full obligation surface of a small Indian private company. Most founders discover the right-hand two columns only after an inspection.

Obligations by authority and frequency

Authority	Obligation	Form	Frequency	Typical due date	A
Income Tax	Deposit TDS deducted	Challan ITNS-281	Monthly	7th of the following month (30 April for March)	Ar
	TDS return — salary / non-salary / non-resident	24Q / 26Q / 27Q	Quarterly	31 Jul, 31 Oct, 31 Jan, 31 May	Ar
Income Tax	Advance tax instalments	Challan ITNS-280	Quarterly	15 Jun, 15 Sep, 15 Dec, 15 Mar	Li ₹
Income Tax	Issue Form 16 to employees	Form 16	Annual	15 June	Er
Income Tax	Issue Form 16A	Form 16A	Quarterly	15 days after 26Q due date	D
Income Tax	Tax audit report	3CA/3CB + 3CD	Annual	30 September	If ap
Income Tax	Income tax return	ITR-3/4/5/6	Annual	31 July (non-audit) / 31 October (audit)	Ev
Income Tax	Transfer pricing report	Form 3CEB	Annual	31 October	If in d
GST	Outward supplies return	GSTR-1	Monthly / Quarterly (QRMP)	11th / 13th	Al
GST	Summary return and payment	GSTR-3B	Monthly / Quarterly	20th / 22nd or 24th	Al
GST	Letter of Undertaking	RFD-11	Annual	Start of each financial year	Ex IG

GST	Annual return	GSTR-9	Annual	31 December	Tu pr
GST	Reconciliation statement	GSTR-9C	Annual	31 December	Tu cr
MCA	Board meetings	Minutes	Quarterly (2/year for small company)	Max 120-day gap	Co
MCA	Annual General Meeting	Minutes	Annual	Within 6 months of FY end; 30 September in practice	Co
MCA	Financial statements	AOC-4 / AOC-4 XBRL	Annual	30 days from AGM	Co
MCA	Annual return	MGT-7 / MGT-7A	Annual	60 days from AGM	Co
MCA	Director KYC	DIR-3 KYC / KYC Web	Annual	30 September	Ev
MCA	Return of deposits / exempt receipts	DPT-3	Annual	30 June	Co
MCA	Outstanding dues to MSME vendors	MSME-1	Half-yearly	30 April and 31 October	Co M 45
MCA	Significant beneficial ownership	BEN-2	On event	30 days from BEN-1	Co
MCA	LLP annual return / accounts	Form 11 / Form 8	Annual	30 May / 30 October	LL
EPFO	Electronic Challan cum Return	ECR	Monthly	15th of following month	Co es

ESIC	Contribution payment	Online challan	Monthly	15th of following month	C es
State	Professional tax — employer and employee	State form	Monthly / Annual by state	Varies (often 20th or 30th)	P
State	Shops & Establishment renewal	State form	Annual or perpetual	Varies	R es
State / Central	POSH annual report to District Officer	Annual report	Annual	Calendar year end	1
RBI	Foreign Liabilities and Assets	FLA return	Annual	15 July	C o
RBI	Reporting of share allotment to non-resident	FC-GPR	On event	30 days from allotment	C F

⚠ **Due dates as at FY 2025-26 — verify before each filing**
Due dates are routinely extended by CBDT and CBIC circulars, particularly for GSTR-9/9C and for income tax returns. They are also occasionally advanced. Check the compliance calendar on **incometax.gov.in** and **gst.gov.in** each month rather than relying on a static list.

Who should own what

YOU (THE FOUNDER)

Raising invoices, collecting payments, approving expenses, reconciling the bank weekly, chasing vendor GSTR-1 filings, owning the compliance calendar, and reading every notice the day it arrives.

YOUR CA

Books of account, GST returns, TDS returns, advance tax computation, income tax return, tax audit, representation in assessments, and telling you the consequence of decisions *before* you make them.

YOUR CS

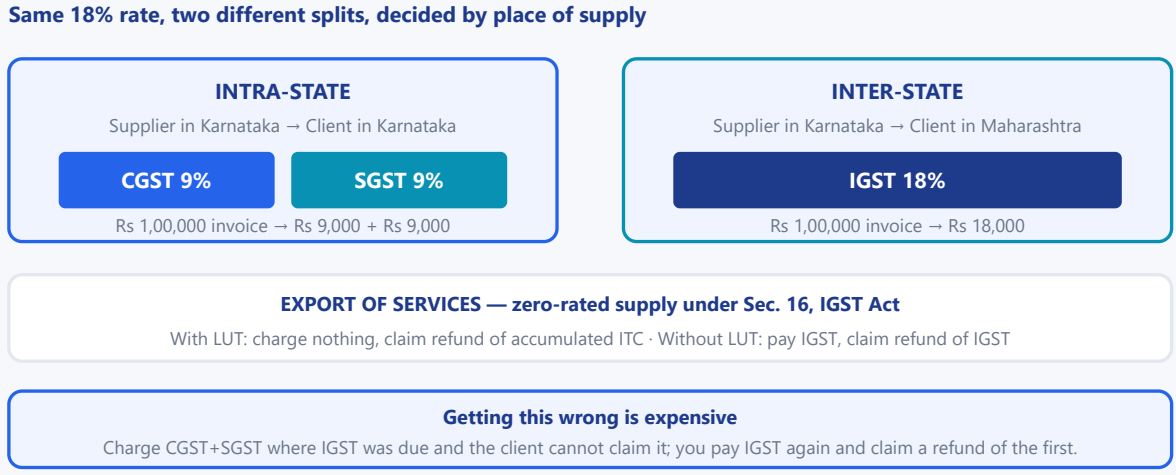
Board and general meeting minutes, statutory registers, ROC filings, share allotments and transfers, ESOP documentation, FEMA filings. Needed per-transaction rather than continuously at small scale.

GST Fundamentals

Goods and Services Tax is a destination-based, multi-stage, value-added tax on the supply of goods and services, with credit available for tax paid on inputs. It replaced a dozen central and state levies in July 2017. For a services business the practical mechanics reduce to four questions: is it a supply, where is the place of supply, when is the time of supply, and what rate applies.

The dual structure

Tax	Levied by	When it applies	Statute
CGST — Central GST	Central Government	Intra-State supply, half the rate	CGST Act, 2017
SGST — State GST	State Government	Intra-State supply, the other half	Respective State GST Acts
UTGST — Union Territory GST	Union Territory	Intra-UT supply in UTs without a legislature	UTGST Act, 2017
IGST — Integrated GST	Central Government	Inter-State supply, imports, exports (zero-rated), SEZ supplies; full rate in one levy	IGST Act, 2017
Compensation Cess	Central Government	Specified demerit and luxury goods	GST (Compensation to States) Act, 2017



The split is not optional and is not a preference. It is determined by the place of supply rules in Chapter V of the IGST Act.

What is a "supply"

Section 7 of the CGST Act defines supply to include all forms of supply of goods or services — sale, transfer, barter, exchange, licence, rental, lease or disposal — made or agreed to be made **for a consideration** in the course or furtherance of business. Schedule I lists activities treated as supply even **without** consideration, which catches a number of situations a software business will encounter.

Situation	Supply?	Why
You invoice a client ₹5 lakh for a development sprint	Yes	Services for consideration in the course of business
You give a free trial of your SaaS with no payment and no obligation	No	No consideration, not covered by Schedule I
Your Bengaluru GSTIN provides shared services to your Mumbai GSTIN of the same company	Yes	Schedule I — supply between **distinct persons** under Section 25(4), even without consideration. Cross-charge required
You transfer a laptop on which you claimed ITC to a departing employee for free	Yes	Schedule I — permanent transfer of business assets where ITC was availed
Employer provides a laptop and health insurance to an employee as part of the contract of employment	No	Schedule III — services by an employee to the employer, and prescribed employer perquisites, are neither supply of goods nor services
A director charges the company a sitting fee	Yes	Services by a director in a non-employee capacity; **reverse charge** applies to the company
You sell your business as a going concern	Exempt	Transfer of a business as a going concern is exempt by notification
You receive a cloud subscription invoice from a US provider with no Indian entity	Yes	**Import of services** — reverse charge applies to you as the recipient

Place of supply — the rule that decides everything

⚠ **Section references as at FY 2025-26 — verify on gst.gov.in**
Place of supply rules sit in Sections 10 to 13 of the IGST Act, 2017 and have been amended several times, including the treatment of intermediary services and transportation of goods. Confirm the current text before applying it to an unusual transaction.

SERVICES — THE GENERAL RULE, SECTION 12 (BOTH PARTIES IN INDIA)

Scenario	Place of supply	Result for a Karnataka supplier
Recipient is **registered**	Location of the recipient	Recipient in KA → CGST+SGST. Recipient in MH → IGST
Recipient is **unregistered** and address is on record	Location of the recipient as per the supplier's records	Capture the state in your billing form. Get this wrong and you charge the wrong tax
Recipient is unregistered and no address on record	Location of the **supplier**	CGST+SGST
Services in relation to immovable property	Location of the property	Special rule, Section 12(3)
Training and performance appraisal to an unregistered person	Where the services are actually performed	Section 12(5)
Admission to an event	Where the event is held	Section 12(6)
Telecom, broadcasting, DTH	Specific rules by connection type	Section 12(11)
Banking and financial services	Location of the recipient on the supplier's records	Section 12(12)

SERVICES — SECTION 13 (ONE PARTY OUTSIDE INDIA)

Scenario	Place of supply	Consequence
General rule	Location of the **recipient**	Indian developer serving a US client → place of supply is outside India → potentially an export
Recipient's location not available	Location of the supplier	Becomes a domestic supply; tax payable
Services performed on goods made physically available	Where the services are performed	Section 13(3)(a)
Services requiring the physical presence of the recipient	Where performed	Section 13(3)(b)
Intermediary services	Historically the location of the **supplier** — a long-running controversy for Indian firms acting as agents for overseas principals	**Verify the current position**; this provision has been the subject of amendment and litigation
Online Information and Database Access or Retrieval (OIDAR) services to an unregistered Indian recipient	Location of the recipient in India	Overseas SaaS providers must register in India; definition expanded in recent amendments

✕ **The "intermediary" trap for Indian consultants**
If your contract makes you an **agent or broker** arranging a supply between your overseas principal and a third party — rather than supplying the service on your own account — you may be an "intermediary". Historically, the place of supply for intermediary services has been the supplier's location, which makes the transaction a **domestic supply taxable at 18%** rather than a zero-rated export. Indian marketing representatives, sales agents and some BPO arrangements have faced large demands on this basis. Draft your contract to make clear you supply services on a principal-to-principal basis, and get a written opinion. **Verify the current statutory position and case law**, which has moved.

Time of supply

Case	Time of supply is the earlier of	Section
Services, forward charge	(a) date of issue of invoice if issued within the prescribed period (30 days), or (b) date of receipt of payment. If the invoice is not issued in time, the date of provision of service	Sec. 13, CGST Act
Goods, forward charge	Date of issue of invoice or the last date on which it should have been issued	Sec. 12, CGST Act
Reverse charge, services	(a) date of payment, or (b) 61st day from the supplier's invoice date	Sec. 13(3)
Reverse charge, goods	Earliest of date of receipt of goods, date of payment, or 31st day from invoice	Sec. 12(3)
Continuous supply of services	Due date of payment per the contract; or date of payment if no due date; or date of completion of the event where payment is linked to an event	Sec. 31(5)
Vouchers	Date of issue if the supply is identifiable at that point, else date of redemption	Sec. 12(4)/13(4)

✦ **Advances on services attract GST**

If a client pays you a ₹5 lakh advance in March for work to be done in May, GST is payable on the advance in **March**, because receipt of payment triggers time of supply for services. Issue a **receipt voucher** under Section 31(3)(d) and pay the tax in that month's GSTR-3B. (For **goods**, the advance rule was relaxed by notification — advances on goods are generally taxed at invoice, not receipt. **Verify the current position.**) Many consultants discover this during their first audit.

HSN and SAC codes

Code	What it covers	Relevant codes for a tech business
HSN — Harmonised System of Nomenclature	Goods	8471 for computers and peripherals; 8517 for networking equipment
SAC — Services Accounting Code	Services	**998313** Information technology consulting and support services; **998314** Information technology design and development services; **998315** Hosting and IT infrastructure provisioning; **998316** IT infrastructure and network management; **998319** Other IT services; **998361** Advertising services; **998311** Management consulting

⚠ **HSN/SAC digit requirements on invoices and in GSTR-1**
The number of digits you must report depends on your aggregate turnover in the preceding financial year, and the thresholds have been tightened over successive notifications — commonly 4 digits below a turnover threshold and 6 digits above it for B2B supplies, with 8 digits for specified goods. GSTR-1 now validates HSN reporting against a list rather than accepting free text. **Check the current requirement on gst.gov.in before you lock your invoice template.**

The rate structure

✕ **GST rates were rationalised in September 2025 — verify your exact rate**
The rate structure moved to principally **5% and 18%** slabs, with a **40% demerit rate** for specified goods, alongside nil-rated and exempt categories and special rates for certain items. The earlier 12% and 28% slabs were substantially reorganised. This changed rates for a large number of HSN codes. **Do not assume the rate you used last year still applies.** Check the rate finder on **gst.gov.in** or the current rate notification under Section 9 of the CGST Act for your exact HSN or SAC. Most IT and software services have historically been at 18%; confirm this for your SAC.

Category	Indicative position after September 2025 rationalisation	Example
Nil rated	0%	Fresh unbranded food items, certain books
Exempt	No GST, and **no ITC** on related inputs	Healthcare, education by specified institutions, certain financial services
5%	Mass-consumption and merit goods and services	Many essential items; certain transport services
18%	The standard rate for most goods and the overwhelming majority of services	**IT and software services, SaaS, consulting, professional services**
40% demerit	Specified sin and luxury goods	Verify the exact list in the current notification
Special rates	Specific rates for bullion, precious stones and a few other categories	—
Zero rated	0% with **full ITC refund entitlement** — legally distinct from exempt	Export of goods and services; supplies to SEZ units and developers

> **Exempt is not the same as zero-rated**
> On an **exempt** supply you charge nothing and you **cannot claim** input tax credit on the inputs used — the tax sticks to you as a cost. On a **zero-rated** supply you also charge nothing, but you retain full entitlement to input tax credit and can claim a refund of it. Export of services is zero-rated, which is why an Indian software exporter can recover GST paid on cloud bills, rent and professional fees as a cash refund. Confusing the two is one of the most expensive conceptual errors in Indian indirect tax.

GST Registration

Registration under GST is mandatory above a turnover threshold, mandatory from the first rupee in a list of cases under Section 24 regardless of turnover, and available voluntarily to anyone. For a software consultant the real decision is usually whether to register voluntarily before the threshold, and the answer is usually yes.

Thresholds

> ⚠ **Thresholds as at FY 2025-26 — confirm on gst.gov.in**
> The aggregate turnover thresholds below are set under Section 22 of the CGST Act read with the relevant exemption notifications, and the list of "special category states" has been amended. Verify before relying.

Supply type	Normal states	Special category / specified states
Goods only	₹40 lakh (₹4,000,000)	₹20 lakh (₹2,000,000)
Services, or goods and services	₹20 lakh (₹2,000,000)	₹10 lakh (₹1,000,000)

Aggregate turnover is defined in Section 2(6) and includes, computed on an **all-India PAN basis**: taxable supplies, exempt supplies, exports, and inter-State supplies of persons with the same PAN — but **excludes** CGST, SGST, IGST, cess, and the value of inward supplies on which tax is payable under reverse charge. The all-India PAN basis matters: if you have two business lines under one PAN, their turnovers add together.

Compulsory registration under Section 24 — no threshold at all

#	Category	Relevance to a tech business
(i)	Persons making any **inter-State taxable supply**	Applies to goods. For **services**, a notification exempts inter-State suppliers of services up to the ₹20 lakh threshold — **verify this exemption is still in force**
(ii)	Casual taxable persons	A consultant setting up a temporary stall or event presence in another state
(iii)	Persons required to pay tax under **reverse charge**	**Very relevant.** If you import services — a US SaaS subscription, an overseas contractor, Google/Meta ads billed from outside India — you are liable under RCM and therefore must register
(iv)	Persons liable under Section 9(5) e-commerce provisions	Platform operators
(v)	Non-resident taxable persons	—
(vi)	Persons required to deduct TDS under Section 51	Government departments and notified entities
(vii)	Agents supplying on behalf of other taxable persons	—
(viii)	Input Service Distributors	Multi-state groups distributing common input credit
(ix)	Persons supplying through an **e-commerce operator** required to collect TCS under Section 52	Selling on Amazon, Flipkart. **Service providers** below the threshold supplying through an ECO have a notified exemption — verify its current scope
(x)	E-commerce operators required to collect TCS	If you build a marketplace
(xi)	Persons supplying OIDAR services from outside India to an unregistered person in India	Overseas SaaS vendors

The reverse-charge trap that catches almost every software startup

If you pay for a US SaaS tool, an overseas freelancer, a foreign cloud bill, or advertising invoiced by an entity outside India, that is an **import of services**. Import of services for a consideration in the course of business is taxable, and the **recipient** pays under reverse charge. Section 24(iii) then makes registration **compulsory regardless of turnover**. A pre-revenue startup paying $200 a month for cloud and tooling can therefore be required to register from day one. Discuss the exact position with your CA; small-value and specific exemptions exist and the rules have been amended. Verify on **gst.gov.in**.

Voluntary registration — should you?

Register voluntarily if	Stay unregistered if
Your customers are **registered businesses** who want ITC — an unregistered vendor's invoice carries no credit and is effectively 18% more expensive to them	Your customers are **consumers** or unregistered — GST becomes a pure 18% price increase or a margin hit
You **export services** and want to claim refund of input tax credit on cloud, rent and professional fees	You have almost no input costs, so there is no credit worth recovering
You buy significant inputs with GST — AWS, GCP, software subscriptions billed from India, office rent, laptops	You are nowhere near the threshold and intend to stay small
Enterprise procurement will not onboard an unregistered vendor	You cannot absorb 12 GSTR-1 and 12 GSTR-3B filings a year, costing ₹12,000–₹30,000
You want a clean FIRC/BRC trail with your AD bank for foreign receipts	—

TEXT

```
WORKED DECISION — Rohan, freelance backend consultant, Bengaluru

Year 1 revenue forecast: Rs 16,00,000
  - Rs 10,00,000 from a US SaaS company (export of services)
  - Rs  6,00,000 from an Indian B2B client (registered, Karnataka)

Input costs with GST:
  AWS India (GST-registered)            Rs 1,80,000 + 18% = Rs 32,400 ITC
  Co-working desk                       Rs 1,44,000 + 18% = Rs 25,920 ITC
  Laptop + monitor                      Rs 1,80,000 + 18% = Rs 32,400 ITC
  CA + legal                            Rs   60,000 + 18% = Rs 10,800 ITC
  Software subscriptions (India-billed) Rs   48,000 + 18% = Rs  8,640 ITC
                                                    TOTAL  Rs 1,10,160 ITC

IF UNREGISTERED (turnover is below Rs 20L, so permitted):
  Export revenue                              Rs 10,00,000
  Domestic revenue                            Rs  6,00,000
  ITC claimable                               Rs        0
  The Rs 1,10,160 of GST paid on inputs is a sunk cost.
  Indian client pays Rs 6,00,000 flat. Fine for them.

IF REGISTERED (voluntary), with LUT filed:
  Export revenue, zero-rated under LUT        Rs 10,00,000  (no GST charged)
  Domestic invoice Rs 6,00,000 + 18% GST      Rs  1,08,000  output tax
  ITC available                               Rs  1,10,160
  Output tax payable after ITC                Rs        0   (ITC exceeds it)
  Unutilised ITC attributable to zero-rated
    supplies → claim REFUND in RFD-01
    (refund formula under Rule 89(4) applies)

  Indian client claims the Rs 1,08,000 as its own ITC, so the
  18% costs them nothing in real terms.

  NET BENEFIT OF REGISTERING: roughly Rs 1,10,160 of previously
  sunk input tax becomes recoverable, minus about Rs 20,000 of
  compliance cost. Clear positive.

VERDICT: register voluntarily, file the LUT, claim the refund.
Figures illustrative, FY 2025-26. Refund computation under
Rule 89(4) is formula-based; confirm with your CA.
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The REG-01 registration process

1

Part A — generate a TRN

On gst.gov.in, go to Services → Registration → New Registration. Enter the legal name exactly as per PAN, the PAN, state, district, email and mobile. Validate both OTPs. You receive a 15-digit

Temporary Reference Number
valid for 15 days.

2 **Part B — the substantive application**
Log in with the TRN and complete ten tabs: Business Details, Promoter/Partners, Authorised Signatory, Authorised Representative, Principal Place of Business, Additional Places of Business, Goods and Services (HSN/SAC), Bank Accounts, State Specific Information, and Verification.

3 **Upload documents**
See the table below. Scans must be legible and within the portal's file size limits.

4 **Aadhaar authentication**
The authorised signatory and promoters can authenticate via Aadhaar OTP. Completing Aadhaar authentication substantially reduces the chance of being selected for physical verification and shortens the processing timeline. Declining it makes site verification near-certain.

5 **Biometric verification where applicable**
In notified states, applicants selected by risk parameters must attend a **GST Suvidha Kendra** in person for biometric Aadhaar authentication and document verification. This has been rolled out progressively state by state — **check whether it applies in your state**.

6 **Submit with DSC or EVC**
Companies and LLPs **must** use a DSC. Proprietorships and partnerships may use EVC (Aadhaar OTP).

7 **Processing**
The officer either approves, raises a query in **Form REG-03** (you respond in **REG-04** within 7 working days), or rejects in **REG-05**. If approved, you receive the registration certificate in **Form REG-06** with your GSTIN.

8 **Physical verification if ordered**
The officer visits the principal place of business and uploads a report in

Form REG-30

. Have the name board up, a desk, the rent agreement and the electricity bill ready.

Documents required

Entity	Documents
Proprietorship	PAN and Aadhaar of the proprietor; photograph; proof of principal place of business (electricity bill plus rent agreement and NOC, or ownership proof); bank account proof (cancelled cheque, bank statement or first page of passbook showing name, account number and IFSC)
Partnership / LLP	Partnership deed or LLP Agreement; LLP Certificate of Incorporation; PAN of the firm; PAN, Aadhaar and photograph of all partners; authorisation letter or board resolution for the authorised signatory; address proof; bank proof
Private Limited Company	Certificate of Incorporation; PAN of the company; MoA and AoA; **board resolution** appointing the authorised signatory; PAN, Aadhaar and photograph of each director; DSC of the authorised signatory; address proof of the principal place of business; bank proof

✦ **Photographs of the premises help**

Although not always listed as mandatory, uploading clear photographs of the exterior with the name board and the interior workspace materially reduces queries and the likelihood of physical verification being ordered. Take them before you apply.

Decoding the GSTIN

TEXT

```
GSTIN:  29ABCDE1234F1Z5
        |  |          | ||
        |  |          | |+-- 5  : Checksum character (alphanumeric)
        |  |          | +---- Z  : Default character, currently always Z
        |  |          +------ 1  : Entity code - number of registrations
        |  |                      for the same PAN within that state
        |  |                      (1 = first, 2 = second, ... A = 10th)
        |  +------------------ ABCDE1234F : the 10-character PAN of the
        |                                   registered person
        +--------------------- 29 : State code as per the Indian Census

Common state codes
  01 Jammu & Kashmir   06 Haryana        07 Delhi
  08 Rajasthan         09 Uttar Pradesh  19 West Bengal
  24 Gujarat           27 Maharashtra    29 Karnataka
  32 Kerala            33 Tamil Nadu     36 Telangana
  37 Andhra Pradesh    96 Other Territory (foreign)

So 29ABCDE1234F1Z5 reads:
  Registered in KARNATAKA, under PAN ABCDE1234F, first
  registration for that PAN in that state.

PRACTICAL CONSEQUENCE
  GST registration is STATE-WISE, not entity-wise. If you open
  an office in Maharashtra, you need a second GSTIN (27AB...).
  The two GSTINs are "distinct persons" under Section 25(4),
  and supplies between them are taxable supplies requiring a
  cross-charge invoice even though it is the same company.
```

Amendments and cancellation

Action	Form	Timeline	Notes
Amendment of **core** fields — legal name, principal place of business, addition or deletion of promoters/partners/directors	REG-14	Apply within **15 days** of the change; officer approves in REG-15	Requires officer approval
Amendment of **non-core** fields — email, mobile, bank account, additional place of business in the same state, goods and services	REG-14	Auto-approved	Effective immediately
Change of state	Not an amendment	—	Requires a **new registration** in the new state and cancellation of the old
Voluntary cancellation	REG-16	Apply within 30 days of the event warranting cancellation	Must reverse ITC on stock and capital goods per Section 29(5)
Cancellation by the officer	REG-17 show cause → REG-19 order	—	Grounds in Section 29(2): non-filing of returns for a continuous period, place of business not found, registration obtained by fraud, contravention of provisions
Revocation of cancellation	REG-21	Within the prescribed period from the cancellation order, extendable	All pending returns and dues must be cleared first
Final return after cancellation	**GSTR-10**	Within 3 months of cancellation order or date of	Late fee applies. Frequently forgotten

		cancellation, whichever is later	
Suspension	REG-31 intimation	—	Registration can be suspended pending cancellation proceedings; you cannot issue tax invoices while suspended

✕ **Non-filing leads to cancellation, and cancellation is painful**
Under Section 29(2), continued failure to file returns is a ground for cancellation. Once cancelled, you cannot issue a tax invoice, your customers cannot claim ITC on your invoices, your GSTIN shows as cancelled on the public portal, and revocation requires clearing every pending return plus late fees and interest. Companies have lost enterprise contracts because a procurement portal flagged their GSTIN as cancelled. File nil returns if you have no activity — a nil GSTR-3B takes two minutes and can be filed by SMS where enabled.

GST Invoicing

The tax invoice is the document on which your customer's input tax credit depends. If it is defective, your customer loses credit and will come back to you. Rule 46 of the CGST Rules prescribes the mandatory contents, Section 31 prescribes when it must be issued, and a separate set of documents — bill of supply, credit note, debit note, delivery challan, receipt voucher, payment voucher, self-invoice — covers the situations an ordinary tax invoice does not.

Rule 46 — mandatory fields on a tax invoice

#	Field	Notes
a	Name, address and **GSTIN** of the supplier	Must match the registration certificate exactly
b	**Consecutive serial number**, not exceeding 16 characters, unique for a financial year, containing only alphabets, numerals, hyphen and slash	One or more series permitted; must be consecutive with no gaps
c	**Date of issue**	—
d	Name, address and GSTIN or UIN of the recipient, if registered	Verify the GSTIN on the portal before invoicing
e	For unregistered recipients where value exceeds ₹50,000: name, address, address of delivery, State and State code	Capture state even below ₹50,000, for place of supply
f	**HSN code** for goods or **SAC** for services	Digit requirement depends on turnover — verify current rule
g	Description of goods or services	Be specific; "professional services" invites queries
h	Quantity and unit for goods	Not applicable to most services
i	Total value of supply	—
j	**Taxable value** after discount or abatement	—
k	**Rate** of tax — CGST, SGST, IGST, UTGST, cess shown separately	—
l	**Amount** of tax charged, each head shown separately	—
m	**Place of supply** with the State name, for inter-State supply	Commonly omitted; a defect that costs your customer credit
n	Address of delivery where different from the place of supply	—

o	Whether tax is payable on **reverse charge**	Must be stated explicitly
p	**Signature or digital signature** of the supplier or an authorised representative	Not required where the invoice is issued electronically per the IT Act
q	**QR code** where e-invoicing applies	Generated from the IRP, not by you

A full worked tax invoice

TEXT

TAX INVOICE

KAVERI DATA SYSTEMS PRIVATE LIMITED
#402, Prestige Atrium, 12th Main, Indiranagar
Bengaluru, Karnataka – 560038
GSTIN : 29AABCK1234L1ZP
CIN : U62011KA2026PTC198745
Udyam Reg. : UDYAM-KA-03-0012345
PAN : AABCK1234L
Email : accounts@kaveridata.example Phone: +91 80 4123 4567
Website : www.kaveridata.example

Invoice No. : KDS/2026-27/0042
Invoice Date : 15 July 2026
Due Date : 14 August 2026 (Net 30)
Reverse Charge: No
Place of Supply: Maharashtra (27)

BILL TO
Helix Analytics Private Limited
8th Floor, Prism Tower
Lower Parel, Mumbai
Maharashtra – 400013
GSTIN: 27AAFCH9876M1Z4
PAN : AAFCH9876M
Contact: Ms. Devika Rao, Finance

SHIP TO
Same as Bill To

Sl	Description of Service	SAC	Qty	Rate	Amount
1	Software design and development services – Sprint 7 and Sprint 8, Order Management Service (Period: 01-Jun-2026 to 30-Jun-2026) Ref: SOW-2026-03 dated 12-Mar-2026	998314	160	4,500	7,20,000
2	Cloud infrastructure management and on-call support – June 2026 Ref: SOW-2026-03, Annexure B	998316	40	3,200	1,28,000

Gross Taxable Value	8,48,000
Less: Early-pay discount (as per contract, Sec.15(3)(a))	8,000
TAXABLE VALUE	8,40,000
IGST @ 18%	1,51,200
CGST @ 9%	NIL

```
                                          SGST @  9%                    NIL
                                          ------------------------  --------

                                          INVOICE TOTAL            9,91,200

Amount in words: Rupees Nine Lakh Ninety One Thousand Two Hundred Only
-------------------------------------------------------------------------

IRN  : 9a1c4e6b2f8d0a5c7e3b1d9f4a6c8e2b0d7f3a5c9e1b4d6f8a0c2e4b6d8f
Ack. No.    : 112526000123456     Ack. Date: 15-Jul-2026 14:22
[QR CODE generated by the Invoice Registration Portal]
-------------------------------------------------------------------------

BANK DETAILS FOR PAYMENT
Account Name : Kaveri Data Systems Private Limited
Account No.  : 50200012345678
Bank / Branch: HDFC Bank, Indiranagar, Bengaluru
IFSC         : HDFC0000123
-------------------------------------------------------------------------

NOTES
1. We are registered under the MSMED Act 2006 as a MICRO enterprise
   (Udyam Registration No. above). Payment is due within 45 days
   under Section 15 of the MSMED Act, 2006, read with Section
   43B(h) of the Income-tax Act, 1961.
2. Interest at 1.5% per month is chargeable on overdue amounts
   as per Clause 7.4 of SOW-2026-03.
3. This is a computer-generated invoice issued electronically and
   does not require a physical signature.

For KAVERI DATA SYSTEMS PRIVATE LIMITED

Authorised Signatory
=========================================================================
```

✦ **Three things most engineer-issued invoices get wrong**

One: no "Place of Supply" line, which is mandatory for inter-State supply under Rule 46(m) and is the field your customer's auditor will flag. **Two:** charging CGST+SGST on an inter-State supply because the invoice template is hard-coded — the customer then cannot use the credit and you have to issue a credit note and re-invoice with IGST. **Three:** a non-consecutive invoice series, because invoices were drafted and deleted. The series must be consecutive within a financial year.

When the invoice must be issued — Section 31

Supply	Time limit
Goods, where movement is involved	Before or at the time of removal
Goods, no movement	Before or at delivery or making available to the recipient
Services	Within **30 days** from the date of supply of service (45 days for insurers, banks, NBFCs)
Continuous supply of goods	At the time each statement or payment is issued or received
Continuous supply of services	On or before the due date of payment per the contract; or at receipt of payment if no due date; or on completion of the event where payment is event-linked
Cessation of a continuous service before completion	At the time of cessation, to the extent of supply made

The other documents

BILL OF SUPPLY — RULE 49

Issued instead of a tax invoice when supplying **exempt** goods or services, or when registered under the **composition scheme**. It contains the same particulars as a tax invoice but shows **no tax**. A composition dealer must additionally carry the declaration "composition taxable person, not eligible to collect tax on supplies".

CREDIT NOTE — SECTION 34(1)

TEXT

CREDIT NOTE

KAVERI DATA SYSTEMS PRIVATE LIMITED
GSTIN: 29AABCK1234L1ZP

Credit Note No. : KDS/CN/2026-27/0007
Credit Note Date : 10 August 2026
Original Invoice : KDS/2026-27/0042 dated 15 July 2026
Reason for issue : Deficiency in service - Sprint 8 scope reduced by 24 hours by mutual agreement (Ref: Change Request CR-11 dated 02-Aug-2026)

ISSUED TO
Helix Analytics Private Limited
GSTIN: 27AAFCH9876M1Z4
Place of Supply: Maharashtra (27)

Sl	Description	SAC	Qty	Rate	Amount
1	Reduction in software design and development services	998314	24	4,500	1,08,000
				TAXABLE VALUE REDUCED	1,08,000
				IGST @ 18% REDUCED	19,440
				TOTAL CREDIT	1,27,440

DECLARATION
The tax liability on this credit note has been adjusted in GSTR-1 and GSTR-3B for the tax period August 2026. The recipient is required to reverse the corresponding input tax credit.

LEGAL BASIS
Issued under Section 34(1) of the CGST Act, 2017.
TIME LIMIT: a credit note with GST adjustment must be declared in a return not later than 30 November following the end of the financial year in which the original supply was made, or the date of filing the annual return for that year, whichever is EARLIER. After that date a credit note may still be issued commercially, but the GST cannot be adjusted.
(Position as at FY 2025-26 - verify on gst.gov.in.)

For KAVERI DATA SYSTEMS PRIVATE LIMITED
Authorised Signatory

DEBIT NOTE — SECTION 34(3)

Issued where the taxable value or tax charged in the original invoice was **less** than it should have been. A debit note **increases** your output liability. Unlike a credit note, there is no time limit on issuing a debit note for GST purposes — but the **recipient's** ability to claim ITC on it is governed by Section 16(4) time limits, computed with reference to the **debit note's** own financial year.

DELIVERY CHALLAN — RULE 55

Used to move goods without a tax invoice: supply of liquid gas where quantity is unknown at despatch, transport of goods for job work, transport for reasons other than supply (e.g., moving your own servers between offices), and other notified cases. Must be in triplicate for goods — Original for Consignee, Duplicate for Transporter, Triplicate for Consigner.

RECEIPT VOUCHER, REFUND VOUCHER, PAYMENT VOUCHER

Document	Rule	When
Receipt voucher	Rule 50	On receiving an advance against a supply, before the invoice is issued
Refund voucher	Rule 51	Where an advance was received, a receipt voucher issued, and the supply is subsequently not made and the advance is refunded
Payment voucher	Rule 52	Issued by a recipient who pays tax under **reverse charge**, at the time of making payment to the supplier
Self-invoice	Section 31(3)(f)	Issued by a recipient liable under reverse charge where the supplier is **unregistered** — including every import of services from an overseas vendor

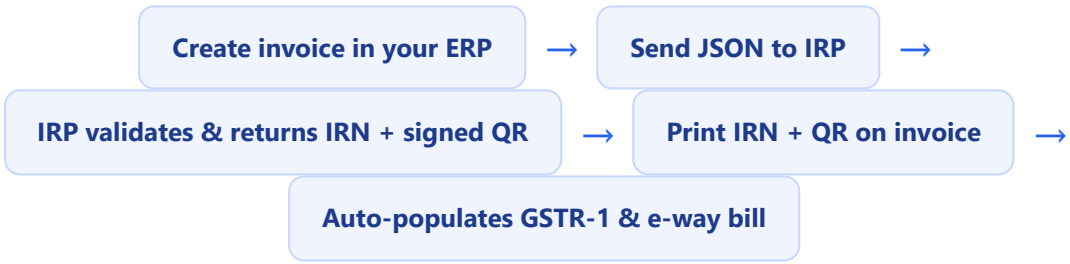
Invoice series rules

- ☐ Maximum 16 characters
- ☐ Only alphabets, numerals, hyphen and slash — **no spaces, no hash, no underscore**
- ☐ Must be **consecutive** and unique within a financial year
- ☐ Reset at the start of each financial year is permitted and is standard practice
- ☐ Multiple series are permitted — for example one for domestic, one for exports, one for credit notes — provided each is internally consecutive

- [ ] Cancelled invoice numbers must be reported as cancelled, not silently skipped
- [ ] A suggested pattern: `KDS/2026-27/0001` for domestic, `KDS/EXP/2026-27/0001` for exports, `KDS/CN/2026-27/0001` for credit notes

E-invoicing, IRN and the QR code

> ⚠ **E-invoicing thresholds have been lowered repeatedly — verify your current position**
> E-invoicing under Rule 48(4) applies to registered persons whose **aggregate turnover in any preceding financial year from 2017-18 onwards** exceeded a notified threshold. The threshold has been progressively reduced from ₹500 crore to ₹100 crore to ₹50 crore to ₹20 crore to ₹10 crore and then to **₹5 crore (₹50,000,000)**, with further reduction under discussion. The trigger is "any preceding year", so a company that once crossed the threshold stays in scope even if turnover falls. **Check your position on gst.gov.in and on the e-invoice enablement status page.** Position as at FY 2025-26.



Concept	Detail
IRN — Invoice Reference Number	A 64-character hash generated by the Invoice Registration Portal from the supplier GSTIN, financial year, document type and document number. Uniquely identifies the invoice
IRP — Invoice Registration Portal	einvoice1.gst.gov.in and other notified portals. Validates the JSON against the schema and returns the IRN, a digitally signed invoice and a signed QR code
QR code	Contains supplier GSTIN, recipient GSTIN, invoice number and date, value, HSN of the main item, and the IRN. Must be printed on the invoice
Time limit for reporting	Invoices must be reported to the IRP within a prescribed window from the document date for taxpayers above a turnover threshold — **verify the current window and applicability**; late reporting means the IRP rejects the invoice outright
Cancellation	An IRN can be cancelled on the IRP only within 24 hours of generation, and only in full. After that, issue a credit note
What it is not	E-invoicing does **not** mean the government generates your invoice. You generate it; the IRP registers it and returns an identifier
Exempted	SEZ units, banks, insurers, NBFCs, GTAs, passenger transport, cinema multiplexes and government departments are exempted from e-invoicing — verify the current exemption list

E-way bills

Attribute	Detail
Applies to	Movement of **goods** of consignment value exceeding ₹50,000 (₹50,000), inter-State or intra-State. **Not applicable to services**
Form	**GST EWB-01** — Part A (consignment details) and Part B (transport details including vehicle number)
Portal	ewaybillgst.gov.in
Who generates	The registered supplier, the recipient, or the transporter
Validity	Computed by distance — commonly one day per 200 km (or part thereof) for regular cargo, with different rules for over-dimensional cargo. **Verify the current formula**
Intra-State threshold	Some states have set higher thresholds or exempted intra-State movement up to a value or distance. Check your state notification
Penalty for moving without one	Detention and seizure under Section 129, with tax and penalty payable for release. This is enforced aggressively
Relevance to a software company	Only when you ship hardware — dev machines to a remote team, devices to a customer site, equipment to an event

Input Tax Credit

Input tax credit is the mechanism that makes GST a value-added tax rather than a cascading turnover tax. It is also the single largest source of disputes, notices and cash loss for small businesses, because the conditions in Section 16 are cumulative, the blocked-credit list in Section 17(5) is long, and the time limit in Section 16(4) is absolute.

Section 16 — the four conditions, all of which must be satisfied

1. **You possess a tax invoice or debit note**
   Issued by a registered supplier, containing all Rule 46 particulars. A proforma invoice, a quotation or a bank statement is not enough.

2. **You have received the goods or services**

Including the "bill-to ship-to" deeming provision where goods are delivered to a third party on your direction.

3 **The tax has actually been paid to the Government**

By the supplier, in cash or through their own credit. This is the condition you cannot verify directly and cannot control — which is why GSTR-2B matching matters.

4 **The supplier has furnished the return**

Under Section 39. And, under Section 16(2)(aa), the invoice must have been furnished by the supplier in their GSTR-1 and

communicated to you in GSTR-2B

.

✕ **Section 16(2)(aa) shifted the risk onto you**

Before this provision, you could claim credit on an invoice you held even if the supplier had not filed. Now, ITC is available **only** if the invoice appears in your auto-generated GSTR-2B. If your vendor does not file GSTR-1, or files it with your GSTIN typed wrongly, you lose the credit — even though you paid the tax to them. The practical consequence: reconcile GSTR-2B every single month and chase defaulting vendors before you pay them. Consider a contractual clause withholding the GST component until the credit reflects in your 2B.

The 180-day payment rule — second proviso to Section 16(2)

TEXT

```
THE RULE
If you claim ITC on an invoice and then FAIL to pay the supplier
the value of supply PLUS the tax within 180 DAYS from the invoice
date, you must:
  (a) add the ITC claimed to your output tax liability, and
  (b) pay interest from the date of claiming the ITC.

You can RE-CLAIM the credit when you eventually pay the supplier.
The re-claim is not subject to the Section 16(4) time limit.

WORKED EXAMPLE
  15-Apr-2026  Vendor invoice: Rs 5,00,000 + 18% IGST Rs 90,000
               Total payable Rs 5,90,000
  20-May-2026  You claim Rs 90,000 ITC in GSTR-3B for April
  12-Oct-2026  180 days from 15-Apr-2026 expires. You have paid
               the vendor nothing (cash flow problem).

  CONSEQUENCE in the GSTR-3B for October 2026:
    Reverse ITC                                Rs 90,000
    Interest u/s 50 @ 18% p.a. from 20-May-26
      to 20-Nov-26 (approx. 184 days)
      = 90,000 x 18% x 184/365              = Rs  8,167
    Total cash outflow now                     Rs 98,167

  03-Feb-2027  You pay the vendor Rs 5,90,000 in full.
               You RE-CLAIM Rs 90,000 ITC in the Feb-2027 GSTR-3B.
               The Rs 8,167 interest is NOT refunded.

  NET COST OF THE DELAY: Rs 8,167 plus the administrative burden.

PRACTICAL NOTE
  Partial payment → proportionate reversal.
  The rule does not apply to supplies on which tax is payable
  under reverse charge, nor to deemed supplies under Schedule I
  made without consideration.
  Verify the current proviso text and interest rate on gst.gov.in.
```

Section 17(5) — blocked credits, the full list

⚠ **Position as at FY 2025-26 — Section 17(5) has been amended several times**

The list below reflects Section 17(5) of the CGST Act as it stands in early 2026, including the amendments relating to motor vehicles, works contracts and CSR expenditure. **Verify the current text on gst.gov.in before deciding a credit is or is not available.**

Clause	Blocked item	Exceptions where credit IS available	Relevance to a tech company
(a)	**Motor vehicles** for transport of persons with approved seating capacity up to 13 persons, including the driver	Further supply of such vehicles; transportation of passengers; imparting driving training	The company car is not creditable. A very common wrong claim
(aa)	Vessels and aircraft	Same categories as above, plus transportation of goods	Rarely relevant
(ab)	**Insurance, servicing, repair and maintenance** of the above vehicles, vessels and aircraft	Where credit on the vehicle itself is allowed; where received by a manufacturer of such vehicles or an insurer	Car insurance and servicing — blocked
(b)(i)	**Food and beverages, outdoor catering, beauty treatment, health services, cosmetic and plastic surgery**	Where used for making an outward supply of the same category; or where an employer is **obligated by law** to provide it to employees	Team lunches, client dinners, office pantry catering — blocked. The "obligated under law" exception is narrow
(b)(i)	**Leasing, renting or hiring of motor vehicles, vessels and aircraft** where credit on them is blocked	Where used for the same category of outward supply, or where obligated by law	Employee cab leasing — generally blocked unless legally obligated
(b)(ii)	**Membership of a club, health and fitness centre**	None	Gym memberships as a perk — blocked
(b)(iii)	**Travel benefits to employees on vacation** such as leave or home travel concession	Where obligated by law	LTA-funded travel — blocked
(c)	**Works contract services** for	Where it is an input service for the further supply of works contract	Office fit-out and interiors — largely blocked

	construction of immovable property	service; plant and machinery	
(d)	Goods or services received for **construction of immovable property on own account**, including when capitalised	Plant and machinery	Building your own office — blocked
(e)	Goods or services on which tax has been paid under the **composition scheme**	None	Buying from a composition dealer gives you no credit
(f)	Goods or services received by a **non-resident taxable person**	Goods imported by them	Rarely relevant
(fa)	Goods or services used for **CSR** activities under Section 135 of the Companies Act	None	Relevant once CSR applies to you
(g)	Goods or services used for **personal consumption**	None	The catch-all the officer will use
(h)	Goods **lost, stolen, destroyed, written off**, or disposed of by way of gift or free samples	None	Free promotional devices, written-off inventory
(i)	Tax paid under Sections 74, 129 and 130 — demands involving fraud, detention and confiscation	None	Penalty is never creditable

What a software company can normally claim

Cloud and hosting bills from Indian-registered providers; software subscriptions billed with Indian GST; office rent (commercial, with a GST-registered landlord); co-working desk fees; laptops, monitors, servers and networking hardware; professional fees to CAs, CSs and lawyers; recruitment agency fees; marketing and advertising billed in India; courier and logistics; telecom and internet; event and conference fees; audit fees. These are ordinary business inputs and are not blocked, provided all four Section 16 conditions are met.

Reversal under Rules 42 and 43 — mixed use

Where inputs are used **partly** for taxable (including zero-rated) supplies and **partly** for exempt supplies or non-business purposes, the common credit must be apportioned and the exempt portion reversed. Rule 42 covers inputs and input services; Rule 43 covers capital goods, spread over 60 months.

TEXT

```
RULE 42 REVERSAL - simplified worked example

Facts for the month:
  Total common input tax credit (C2)           Rs 2,00,000
  Total turnover in the State                  Rs 50,00,000
    of which EXEMPT turnover (E)               Rs  5,00,000
    of which TAXABLE + ZERO-RATED              Rs 45,00,000

  Note: ZERO-RATED (export) supplies are treated as TAXABLE
  for this computation, not exempt. This matters a great deal
  to a services exporter.

Step 1  Identify credit exclusively for exempt supplies (D1 input)
          → reverse in full

Step 2  Apportion the common credit:
          Reversal = C2 x (E / F)
                   = 2,00,000 x (5,00,000 / 50,00,000)
                   = 2,00,000 x 0.10
                   = Rs 20,000

Step 3  Add a further 5% of common credit treated as used for
        non-business purposes, where applicable (D2)
                   = 2,00,000 x 5%  = Rs 10,000

Step 4  Total reversal for the month = Rs 30,000, added to
        output tax liability in GSTR-3B Table 4(B).

Step 5  ANNUAL RECOMPUTATION
        Redo the calculation for the whole financial year before
        the due date of the September return of the following
        year. If the annual reversal exceeds the sum of monthly
        reversals, pay the difference with interest. If it is
        less, claim the excess back as credit.

Rule 43 applies the same logic to CAPITAL GOODS, but spreads the
useful life over 60 months and reverses monthly.

Verify the current formula and the 5% figure on gst.gov.in.
```

Section 16(4) — the absolute time limit

✕ **ITC that is not claimed in time is lost permanently**

Under Section 16(4), input tax credit on an invoice or debit note for a financial year cannot be taken after the **30th day of November** following the end of that financial year, or the date of filing the **annual return** for that year, whichever is **earlier**. There is no condonation, no appeal on equity, and no mechanism to recover it. For a company with ₹60 lakh of annual GST-bearing expenses, forgetting to claim credit on ₹10 lakh of invoices is ₹1.8 lakh of permanent cash loss. Position as at FY 2025-26 — amendments have been made to this provision; **verify the current text and any transitional relief on gst.gov.in**.

GSTR-2B reconciliation — the monthly discipline

	GSTR-2A	GSTR-2B
Nature	**Dynamic** — changes whenever a supplier files or amends	**Static** — generated on a fixed date each month and frozen
Use	Historical view and trend analysis	**The legal basis for claiming ITC** under Section 16(2)(aa)
Generated	Continuously	Monthly, on a fixed date after the GSTR-1 due date
Contains	All invoices uploaded by suppliers	Bifurcated into ITC Available and ITC Not Available, with reasons

1. **Download GSTR-2B as soon as it is generated**
   Before filing GSTR-3B for the month.

2. **Match it against your purchase register**
   By GSTIN, invoice number, invoice date and tax amount. Use a reconciliation tool or a spreadsheet with an exact-match key.

3. **Classify every mismatch**
   Into: in books but not in 2B (supplier has not filed, or typed your GSTIN wrongly); in 2B but not in books (you missed recording the invoice, or it is not yours); value mismatch; tax-head mismatch (they charged CGST+SGST where IGST was due).

4. **Chase the supplier before paying them**
   The leverage disappears the moment the payment leaves your account.

5 **Claim only what is in 2B**
Resist the temptation to claim on an invoice you hold but which is not reflected. The system will generate a DRC-01C intimation for excess claims.

6 **Track the carry-forward**
Maintain a running list of invoices not yet in 2B, with the Section 16(4) expiry date against each. Escalate anything approaching 30 November.

The ITC mistakes that trigger notices

Mistake	What happens
Claiming more ITC in GSTR-3B than appears in GSTR-2B	System-generated intimation in **Form DRC-01C** asking you to explain the difference or pay. Repeated differences lead to scrutiny under Section 61
Claiming ITC on blocked credits — team meals, employee insurance, company car	Demand under Section 73 or 74 with interest and penalty
Claiming ITC on an exempt-supply input without Rule 42 reversal	Demand for the reversal with interest
Not reversing under the 180-day rule	Demand plus interest; frequently found in audit by comparing the purchase ledger ageing to the ITC register
Claiming ITC on an invoice from a supplier whose registration was cancelled retrospectively	Demand on you, regardless of your good faith. Verify vendor GSTIN status periodically
Claiming IGST credit against a CGST+SGST invoice (or vice versa) in the wrong table of GSTR-3B	Mismatch intimation; correctable but tedious
Claiming after the Section 16(4) deadline	Permanently disallowed; demand with interest and penalty if already claimed
Claiming on self-invoices for RCM without actually paying the RCM liability in cash	RCM liability must be discharged in **cash**, not by using ITC. Credit of the RCM tax is then available separately

GST Returns and the Monthly Rhythm

Once registered, GST becomes a fixed monthly cadence that does not care what else is happening in the business. Two returns a month for most taxpayers, or a quarterly variant with a monthly payment, plus an annual return. The discipline that keeps this cheap is closing the books by the 5th of every month.

The returns

Return	What it contains	Who files	Due date
GSTR-1	Details of all **outward supplies** — B2B invoice-wise, B2C summary, exports, credit and debit notes, advances, HSN summary, document series	All regular taxpayers	**11th** of the following month (monthly filers)
IFF — Invoice Furnishing Facility	Optional upload of B2B invoices in months 1 and 2 of a quarter, so the recipient gets credit without waiting	QRMP taxpayers	**13th** of the following month
GSTR-1A	Optional amendment facility to correct GSTR-1 before filing GSTR-3B for the same period	Regular taxpayers	After GSTR-1, before GSTR-3B — **verify current availability**
GSTR-2B	Auto-drafted **static** ITC statement. Not filed — only consumed	System-generated	Generated monthly on a fixed date
GSTR-3B	Summary return: outward supplies, inward supplies liable to reverse charge, ITC claimed and reversed, tax payable and paid	All regular taxpayers	**20th** of the following month (monthly); **22nd or 24th** for QRMP depending on the state group
GSTR-4	Annual return for composition taxpayers	Composition dealers	30 April following the financial year
CMP-08	Quarterly statement of self-assessed tax for composition taxpayers	Composition dealers	**18th** of the month following the quarter
GSTR-5 / 5A	Non-resident taxable persons / OIDAR service providers	As named	Per notification
GSTR-6	Input Service Distributor return	ISDs	13th of the following month

GSTR-7	TDS under Section 51	Government deductors	10th of the following month
GSTR-8	TCS under Section 52	E-commerce operators	10th of the following month
GSTR-9	Annual return consolidating the year	Regular taxpayers above the exemption threshold	**31 December** following the financial year
GSTR-9C	Self-certified reconciliation statement between the annual return and the audited financial statements	Turnover above **₹5 crore** (₹50,000,000)	**31 December**
GSTR-10	Final return after cancellation	Persons whose registration is cancelled	Within 3 months of cancellation or the order, whichever is later
GSTR-11	Inward supplies statement for UIN holders	Embassies, UN bodies	28th of the following month

⚠ **Due dates and thresholds as at FY 2025-26**
GSTR-9 is exempt below an aggregate turnover threshold (historically ₹2 crore) and GSTR-9C applies above ₹5 crore, but these have been changed by notification in several years. Due dates for GSTR-9 and 9C are extended more often than not. **Verify on gst.gov.in each year.**

QRMP — Quarterly Return, Monthly Payment

Attribute	Detail
Eligibility	Aggregate turnover up to **₹5 crore** (₹50,000,000) in the preceding financial year
What becomes quarterly	GSTR-1 and GSTR-3B
What stays monthly	**Payment** of tax, in **Form PMT-06**, by the 25th of the following month for the first two months of each quarter
Payment methods	**Fixed Sum Method** — pay 35% of the cash paid in the preceding quarter (or 100% of the previous month's cash for monthly filers who switched). **Self-Assessment Method** — compute actual liability for the month
IFF	Optional B2B invoice upload in months 1 and 2, up to a value limit per month, so recipients get credit promptly
Opt in / out	Quarterly window on the portal, before the start of the quarter
Who should use it	Small B2C businesses, or B2B businesses whose customers do not need monthly credit
Who should not	B2B suppliers whose enterprise customers reconcile monthly and will chase you every month if your invoices are not in their 2B. Use IFF if you choose QRMP anyway

Late fees and interest

> ⚠ **Rates as at FY 2025-26 — verify on gst.gov.in**
> Late fee and interest rates are prescribed by notification under Sections 47 and 50 of the CGST Act and have been subject to amnesty schemes and rate changes.

Default	Charge	Cap
Late filing of GSTR-1	₹50 per day (₹25 CGST + ₹25 SGST); ₹20 per day for nil returns	Capped by turnover slab
Late filing of GSTR-3B	₹50 per day; ₹20 per day for nil returns	Capped by turnover slab
Late filing of GSTR-9	₹200 per day (₹100 CGST + ₹100 SGST)	A percentage of turnover in the State
Late filing of GSTR-10	₹200 per day	Subject to a maximum
Interest on delayed payment of tax	**18% per annum** under Section 50(1), computed on the net cash liability for delayed GSTR-3B filing	No cap
Interest on excess or undue ITC claimed and utilised	**24% per annum** under Section 50(3)	No cap

A month in the life

TEXT

```
GST + PAYROLL + TDS MONTHLY CALENDAR
Example: the month of August 2026, for a Pvt Ltd with 6 employees

Day 1-5    CLOSE JULY
           - Download bank statement, reconcile every line
           - Record all July purchase invoices in the books
           - Record all July sales invoices; confirm the series
             is consecutive with no gaps
           - Compute July payroll; generate payslips
           - Compute TDS deducted in July: Sec. 192 on salaries,
             194J on the two freelancers, 194C on the agency,
             194I on office rent

Day 7      DEPOSIT TDS for July
           Challan ITNS-281 on incometax.gov.in
           Separate challans by section and by deductee type
           MISS THIS → interest at 1.5% per month u/s 201(1A)

Day 10-11  FILE GSTR-1 for July
           - Upload B2B invoices (auto-populated if e-invoicing)
           - B2C summary by place of supply and rate
           - Exports with shipping bill / LUT reference
           - Credit and debit notes
           - HSN/SAC summary
           - Document series issued and cancelled
           DUE: 11 August

Day 13-14  DOWNLOAD AND RECONCILE GSTR-2B
           - Match against the purchase register
           - Chase vendors missing from 2B BEFORE paying them
           - Flag any invoice approaching the Sec. 16(4) deadline

Day 15     EPF + ESIC for July
           - Upload the ECR on the EPFO employer portal
           - Generate and pay the combined challan
           - Pay ESIC contribution online
           - Add UAN for any new joiner; mark exit date for leavers
           MISS THIS → damages u/s 14B of the EPF Act plus interest

Day 15-18  REVIEW BEFORE 3B
           - Compute output tax: domestic + RCM self-invoices
           - Compute eligible ITC from the reconciled 2B
           - Apply Rule 42/43 reversal if you have exempt supplies
           - Check the 180-day ageing on unpaid purchase invoices
           - Compute net cash payable; fund the electronic cash
             ledger a day in advance

Day 20     FILE GSTR-3B for July AND PAY
```

```
            - Table 3.1 outward supplies
            - Table 3.1(d) inward supplies liable to reverse charge
              (RCM must be paid in CASH, not from ITC)
            - Table 4 ITC available, reversed, net
            - Table 5 exempt and non-GST inward supplies
            - Pay via challan PMT-06, then offset and file
            DUE: 20 August

Day 20-25   PROFESSIONAL TAX (state-dependent)
            File and pay employer PT and employee PT deductions
            on the state commercial tax portal

Day 25-31   FORWARD WORK
            - Raise August invoices on schedule; do not let them
              slip into September
            - Chase receivables over 30 days
            - If this is a quarter-end month, prepare the TDS
              return (24Q/26Q) and the advance tax computation
            - Verify the LUT is on file for the current FY

ONCE A YEAR, ADDITIONALLY
  April       File LUT in RFD-11 for the new financial year
  15 Jun      Issue Form 16 to employees
  30 Jun      File DPT-3
  15 Jul      File FLA return if you have FDI/ODI
  30 Sep      DIR-3 KYC; tax audit report if applicable; AGM
  31 Oct      ITR if audited; Form 3CEB; MSME-1 for Apr-Sep
  31 Dec      GSTR-9 and GSTR-9C
  30 Apr      MSME-1 for Oct-Mar
```

✦ **The one habit that makes all of this cheap**

Close the books by the 5th of every month. Every downstream deadline — TDS on the 7th, GSTR-1 on the 11th, PF on the 15th, GSTR-3B on the 20th — depends on knowing what happened last month. Teams that reconcile weekly and close monthly spend a tenth of the time and pay a tenth of the penalties of teams that discover everything in September.

Reverse Charge Mechanism

Under reverse charge, the liability to pay GST shifts from the supplier to the **recipient**. You pay the tax on a purchase, in cash, and then claim it back as input tax credit if it is otherwise eligible. It is cash-flow negative, administratively fiddly, and it is the single most

commonly missed GST obligation in small Indian companies — because the expense looks like an ordinary purchase in the books.

Two kinds of reverse charge

	Section 9(3) — notified supplies	Section 9(4) — supplies from unregistered persons
Trigger	The **nature of the supply** is on a notified list, regardless of who supplies	A **registered recipient** receives specified supplies from an **unregistered** supplier
Scope	Fixed list in Notification 13/2017-CT(Rate) for services and 4/2017 for goods, as amended	Currently restricted to notified classes of registered persons and notified supplies — the broad version was suspended. **Verify the current scope**
Registration impact	Makes registration **compulsory** under Section 24(iii) regardless of turnover	Applies only if already registered

The notified list that matters to a tech business

Supply	Supplier	Recipient liable	Typical case
Legal services — advocate, firm of advocates, senior advocate	Individual advocate or firm	Any business entity	Your lawyer's invoice for reviewing an MSA. They do not charge GST; you pay it
Goods Transport Agency (GTA) services	GTA that has not opted to pay under forward charge	Specified recipients including companies, firms and registered persons	Shipping a server rack; the transporter's consignment note
Director's services to the company, in a non-employee capacity	Director	The company	Sitting fees, commission to a non-executive director. **Not** salary to an executive director, which is covered by Schedule III
Import of services	Person located outside India	Recipient in India	US SaaS subscription, overseas contractor, foreign consultant, offshore design agency. **Extremely common**
Sponsorship services	Any person	Body corporate or partnership firm	Sponsoring a tech conference or a meetup
Security services — supply of security personnel	Any person other than a body corporate	Registered person	Office security guards supplied by a proprietorship agency
Renting of motor vehicle designed to carry passengers, where the supplier does not charge at the higher rate with full ITC	Any person other than a body corporate	Body corporate	Employee cab services from a non-corporate operator
Services by an arbitral tribunal	Arbitral tribunal	Business entity	Contract disputes
Services by Government or a local	Government	Business entity	Certain licence and registration fees

authority, other than specified exclusions			
Renting of immovable property by Government to a registered person	Government	Registered person	Premises leased from a government body
Recovery agent services	Recovery agent	Banking company, NBFC, financial institution	Fintech relevance
Transfer or permitting use of copyright relating to original literary, dramatic, musical or artistic works	Author, music composer, photographer, artist	Publisher, music company, producer	Licensing content, with an option for the author to pay forward charge

⚠ **The RCM list is amended by notification, frequently**

The categories above are drawn from Notification 13/2017-Central Tax (Rate) as amended, and the position for specific items — notably renting of immovable property, director's services and GTA — has changed more than once. **Confirm the current notification on gst.gov.in before concluding that a particular expense is or is not under reverse charge.** Position as at FY 2025-26.

Self-invoicing — Section 31(3)(f)

Where you are liable under reverse charge and the supplier is **unregistered** — which includes every overseas vendor — you must issue a **self-invoice** on the date of receipt of the supply. You must also issue a **payment voucher** under Rule 52 at the time of making payment to the supplier.

TEXT

SELF-INVOICE UNDER SECTION 31(3)(f)
(Reverse Charge – Import of Services)

Issued by (Recipient, liable to pay tax under RCM)
KAVERI DATA SYSTEMS PRIVATE LIMITED
#402, Prestige Atrium, Indiranagar, Bengaluru 560038
GSTIN: 29AABCK1234L1ZP

Self-Invoice No. : KDS/RCM/2026-27/0019
Date : 05 August 2026

Supplier (unregistered in India)
Cloudscale Systems Inc.
500 Howard Street, San Francisco, CA 94105, USA
Country: United States Tax ID (foreign): 84-1234567
Supplier invoice ref: CS-INV-887231 dated 01-Aug-2026

Sl	Description	SAC	Amount (USD)
1	Cloud infrastructure and managed database services – July 2026	998315	4,200.00

Exchange rate applied : 1 USD = Rs 88.40
(CBIC notified rate / RBI reference rate on the date of time of supply – state the basis used and keep evidence)

Value of supply in INR Rs 3,71,280
Place of Supply : Karnataka (29)
(Sec. 13(2) IGST Act – location of recipient)

Nature of levy : IGST under reverse charge
(import of services, Sec. 5(3) IGST Act)
IGST @ 18% Rs 66,830

DECLARATION
Tax is payable by the recipient under reverse charge in terms of Section 9(3)/Section 5(3) read with Notification 10/2017-Integrated Tax (Rate) as amended.

TREATMENT IN GSTR-3B FOR AUGUST 2026
Table 3.1(d) Inward supplies liable to reverse charge
Taxable value Rs 3,71,280, IGST Rs 66,830
→ PAID IN CASH. RCM liability CANNOT be discharged using input tax credit.
Table 4(A)(3) ITC available – inward supplies liable to reverse charge: IGST Rs 66,830

```
                  → claimed as credit, since cloud services
                    are an eligible business input.

NET CASH EFFECT: Rs 66,830 paid out in cash this month,
Rs 66,830 of credit available to offset other output tax.
If you have no output tax, this accumulates in the credit
ledger and must be managed.

For KAVERI DATA SYSTEMS PRIVATE LIMITED
Authorised Signatory
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The cash-flow effect

RCM must be paid in cash — you cannot use your credit balance

Section 49(4) permits the electronic credit ledger to be used only for payment of **output tax**. Reverse charge liability is not output tax in that sense and must be discharged from the **electronic cash ledger**. So a startup with a large accumulated ITC balance and heavy overseas SaaS spend still writes a cheque to the Government every month, and then adds an equal amount to a credit balance it may not be able to use. For a pre-revenue company with no domestic output tax, this is a pure cash drain until it can claim a refund — and refund of ITC accumulated purely from RCM, where there are no zero-rated supplies and no inverted duty structure, is **generally not available**. Model this before you sign a large overseas tooling contract.

TEXT

```
WORKED CASH-FLOW IMPACT
Pre-revenue SaaS startup, Bengaluru, monthly overseas spend

  AWS (US-billed)                     USD 3,000
  Datadog                             USD   600
  GitHub + Linear + Figma + Slack     USD   450
  Overseas design contractor          USD 1,500
                                      ---------
                                      USD 5,550  @ Rs 88 = Rs 4,88,400

  RCM IGST @ 18%                              = Rs   87,912 / month
  Annual cash outflow on RCM                  = Rs 10,54,944

  Domestic output tax in year 1 (no revenue)  = Rs        0
  ITC accumulated and unusable                = Rs 10,54,944

  Once the company starts billing Indian customers, that
  credit becomes usable against output tax. If the company
  only ever bills OVERSEAS customers (zero-rated), the credit
  becomes refundable under Sec. 54(3) via Form RFD-01.

  If it bills neither, the credit sits idle. Rs 10.5 lakh
  of working capital, gone, in a year when cash is scarcest.

NOTE: Some of these vendors now bill from an Indian entity
with Indian GST charged on the invoice. Where they do, it is
FORWARD charge, not RCM, and ordinary ITC rules apply. Check
each vendor's invoice: if it shows an Indian GSTIN, it is not
an import of services.
```

Composition Scheme

The composition scheme under Section 10 of the CGST Act lets a small taxpayer pay a flat percentage of turnover instead of running the full output-tax-minus-input-credit machinery. It is a genuine simplification for a small retailer or restaurant. For a B2B services business it is almost always a trap, and understanding exactly why is a useful way to understand how GST works.

Eligibility and rates

> ⚠ **Thresholds and rates as at FY 2025-26 — verify on gst.gov.in**
> The composition turnover limits and rates are prescribed under Section 10 and Rule 7 and have been revised. Confirm before opting in.

Category	Turnover limit (preceding FY)	Rate	Base
Manufacturers (other than notified goods)	₹1.5 crore (₹15,000,000); ₹75 lakh in special category states	**1%** (0.5% CGST + 0.5% SGST)	Turnover in the State
Traders / suppliers of goods	₹1.5 crore	**1%**	Turnover of **taxable** supplies in the State
Restaurants (not serving alcohol)	₹1.5 crore	**5%** (2.5% + 2.5%)	Turnover in the State
Service providers under Section 10(2A)	**₹50 lakh** (₹5,000,000)	**6%** (3% CGST + 3% SGST)	Turnover in the State

Restrictions

- ☐ **Cannot collect tax** from customers — the composition levy comes out of your own margin
- ☐ **Cannot claim input tax credit** on any purchase
- ☐ **Cannot make inter-State outward supplies** — this alone disqualifies most consultants
- ☐ Cannot supply through an e-commerce operator required to collect TCS
- ☐ Cannot supply goods that are non-taxable under the Act
- ☐ Cannot be a casual taxable person or a non-resident taxable person
- ☐ Must issue a **Bill of Supply**, not a tax invoice, carrying the declaration "composition taxable person, not eligible to collect tax on supplies"
- ☐ Must display "composition taxable person" on the signboard at every place of business
- ☐ **All** GSTINs under the same PAN must opt in together

- [ ] Still liable to pay tax under **reverse charge** at normal rates, in cash, with no credit
- [ ] Opting in is done in **Form CMP-02** before the start of the financial year; withdrawal in **CMP-04**
- [ ] Files **CMP-08** quarterly by the 18th and **GSTR-4** annually by 30 April

Why it is a trap for a services business

TEXT

```
SIDE-BY-SIDE: Rs 40,00,000 annual services revenue, all B2B

OPTION A - REGULAR SCHEME
  You invoice            Rs 40,00,000 + 18% GST Rs 7,20,000
  Customer pays          Rs 47,20,000
  Customer claims        Rs  7,20,000 as ITC → net cost to them
                         is Rs 40,00,000
  Your input GST         Rs  1,50,000 (cloud, rent, laptops, CA)
  You remit              Rs 7,20,000 - 1,50,000 = Rs 5,70,000
  YOUR NET REVENUE       Rs 40,00,000
  EFFECTIVE GST COST
    TO YOU               Rs 0   (you are a pass-through)

OPTION B - COMPOSITION SCHEME (services, 6%)
  Only possible if ALL customers are in your own State,
  because inter-State outward supply is prohibited.

  You invoice            Rs 40,00,000  (Bill of Supply, no GST)
  Customer pays          Rs 40,00,000
  Customer claims        Rs 0 as ITC
  You pay composition
    levy 6% of turnover  Rs  2,40,000   ← OUT OF YOUR MARGIN
  Your input GST         Rs  1,50,000   ← NO CREDIT, a sunk cost
  YOUR NET REVENUE       Rs 40,00,000 - 2,40,000 = Rs 37,60,000
  EFFECTIVE GST COST
    TO YOU               Rs 3,90,000 per year

DIFFERENCE: Rs 3,90,000 a year worse off, AND you cannot
serve a single customer outside your home state, AND your
B2B customers quietly prefer vendors who give them credit.

WHEN COMPOSITION ACTUALLY MAKES SENSE
  - B2C only: your customers are consumers who cannot use ITC,
    so the 18% is a real price increase you would have to absorb
    or pass on
  - All customers within one state
  - Very low input GST, so there is little credit to forgo
  - Administrative simplicity genuinely matters: 4 CMP-08 plus
    1 GSTR-4 a year versus 24 returns

A software consultant selling B2B, often across state lines and
often abroad, meets none of these conditions.
Figures illustrative, FY 2025-26.
```

Exports and Zero-Rated Supply

For an Indian software engineer serving overseas clients, this is the most financially consequential section in the guide. Export of services is zero-rated, which means no GST is charged **and** input credit is fully recoverable — but only if the transaction meets all five conditions in the statutory definition, and only if you have filed the right paperwork at the right time.

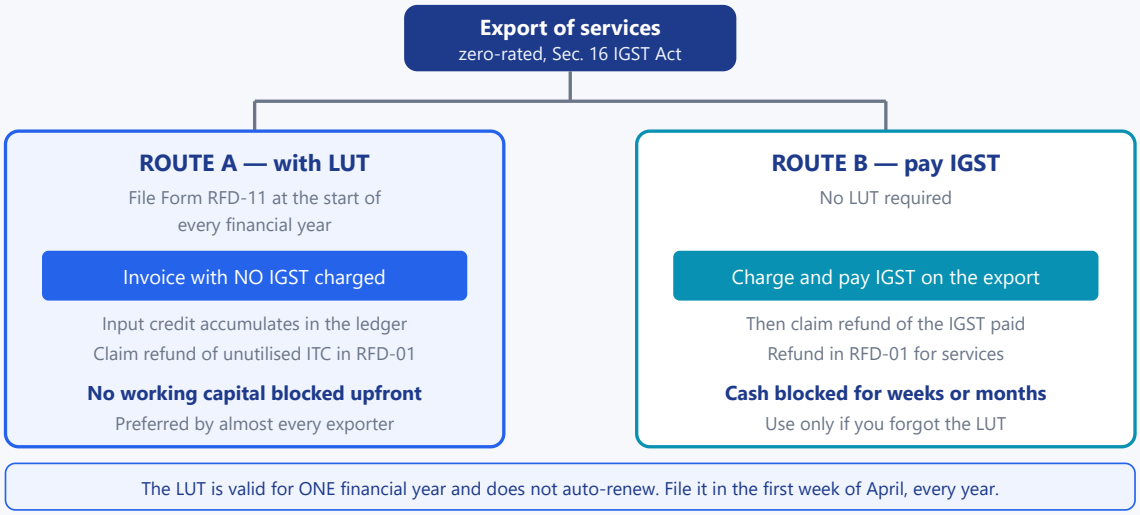
Export of services — the five-condition test, Section 2(6) IGST Act

#	Condition	What it means in practice	Where it goes wrong
1	The **supplier of service** is located in India	Your GSTIN's registered location	Rarely an issue
2	The **recipient of service** is located outside India	The contracting entity, not the end user, must be offshore	Invoicing the Indian subsidiary of a foreign group is **not** an export
3	The **place of supply** is outside India	Section 13(2) general rule: location of the recipient	If you are an "intermediary", place of supply may be your own location, destroying export status
4	Payment is received in **convertible foreign exchange** or in Indian rupees wherever permitted by the RBI	USD, EUR, GBP into your bank, evidenced by FIRC or e-BRC	Being paid into an Indian account by the client's Indian entity, or receiving INR from a non-permitted route
5	The supplier and recipient are **not merely establishments of a distinct person**	Explanation 1 to Section 8 of the IGST Act	An Indian branch invoicing its own foreign head office is **not** an export. A subsidiary invoicing its parent **is** a different legal person and can be

Condition 5 catches captive structures

If your Indian entity is a **branch** or **liaison office** of the overseas company, services to head office are not exports — they are supplies between establishments of the same person. If your Indian entity is a separate **subsidiary company**, it is a distinct legal person and the supply can qualify as an export, subject to transfer pricing scrutiny on the price. This distinction has generated significant litigation. Get it confirmed in writing before you structure.

Two routes to export



Route A is almost always correct. The only reason exporters end up on Route B is forgetting to file the LUT in April.

Filing the LUT — Form RFD-11

1. **Log in to gst.gov.in**
   Services → User Services → Furnish Letter of Undertaking (LUT).
2. **Select the financial year**
   The LUT applies to a single financial year. File for the year you are entering.
3. **Upload the previous year's LUT**
   Optional, where available.
4. **Tick the three self-declarations**
   That you will complete export of goods or services within three months of the invoice date (or the period allowed by the Commissioner); that you will abide by GST law in respect of exports;

and that you will pay IGST with interest at the applicable rate if you fail to export within the time limit.

5 **Enter two independent witnesses**

Name, occupation and address. They need not sign anything on the portal; their details are recorded on the undertaking.

6 **Sign with DSC or EVC**

Companies and LLPs must use a DSC.

7 **Download the acknowledgement with the ARN**

Store it. Your bank, your auditor and your customers may ask for it.

⚠ **Eligibility for the LUT**

Historically, the LUT facility was restricted to exporters who had not been prosecuted for an offence involving tax evasion above a threshold; others had to furnish a bond with a bank guarantee. The eligibility conditions are set by notification and circular. **Verify the current eligibility and any bond requirement on gst.gov.in.** Position as at FY 2025-26.

Refunds

Refund type	Section / Rule	Form	Notes
Refund of **unutilised ITC** on zero-rated supplies made under LUT	Sec. 54(3)(i); Rule 89(4) formula	**RFD-01**	The formula caps the refund at: (Turnover of zero-rated supply of goods and services ÷ Adjusted Total Turnover) × Net ITC. Understand it before you forecast cash
Refund of **IGST paid** on export of services	Sec. 54; Rule 96	**RFD-01**	For **goods**, the shipping bill itself is treated as the refund application under Rule 96 and the refund is largely automatic. For **services**, you must file RFD-01 with FIRC/BRC evidence
Refund of ITC on **inverted duty structure**	Sec. 54(3)(ii)	RFD-01	Where input tax rate exceeds output tax rate. Rare for services
Refund of excess balance in the **electronic cash ledger**	Sec. 54(1)	RFD-01	Straightforward; money you overpaid into the cash ledger
Time limit	Sec. 54(1)	—	**Two years** from the relevant date. For export of services, the relevant date is the date of receipt of convertible foreign exchange, or the date of issue of invoice where payment was received in advance
Provisional refund	Sec. 54(6); Rule 91	RFD-04	90% of the claim may be granted provisionally to zero-rated suppliers, with the balance after verification
Interest on delayed refund	Sec. 56	—	Payable if the refund is not granted within 60 days of a complete application
Deficiency memo	Rule 90(3)	RFD-03	If the application is incomplete, the officer issues a deficiency memo

			and you must file afresh. The clock effectively restarts

Documents for a services export refund

- ☐ Statement 3 under Rule 89(2)(c) — invoice-wise details of zero-rated supplies, with the BRC or FIRC number and date against each
- ☐ Copy of the LUT acknowledgement for the relevant period
- ☐ Export invoices
- ☐ **FIRC or e-BRC** evidencing receipt of convertible foreign exchange for each invoice
- ☐ Declaration under Section 54(3)(ii) that the refund is not on account of inverted duty
- ☐ Undertaking under Rule 89(2)(l) that no prosecution has been launched, where applicable
- ☐ Self-declaration that the incidence of tax has not been passed on, for claims below ₹2 lakh; a **CA certificate** for claims above ₹2 lakh (Rule 89(2)(m))
- ☐ Bank account details validated on the portal and linked to the GSTIN

✦ **The practical sequence for a consultant billing a US client**

Register for GST → file the LUT in the first week of April → raise export invoices with "Supply meant for export of services under LUT without payment of integrated tax" printed on them and the LUT ARN quoted → receive payment in USD → obtain the FIRC or e-BRC from your bank → report the exports in Table 6A of GSTR-1 and in Table 3.1(b) of GSTR-3B → accumulate ITC → file RFD-01 quarterly or half-yearly with Statement 3. Do not wait two years; file refunds on a regular cadence so that errors surface early.

Supplies to SEZ

Point	Position
Status	Supply to an SEZ unit or developer **for authorised operations** is a **zero-rated supply** under Section 16(1)(b) of the IGST Act, even though the SEZ is physically in India
Routes	Same two routes: under LUT without payment of IGST, or on payment of IGST with refund
Documentation	Endorsement by the **specified officer** of the SEZ confirming receipt of services for authorised operations is required for the refund claim
Payment currency	Unlike export of services, payment in **Indian rupees** is acceptable for SEZ supplies
Practical note	Many Indian IT companies serve SEZ-located clients and incorrectly charge IGST. The client then cannot easily recover it. Confirm SEZ status and the authorised operations list before invoicing

Income Tax at the Entity Level

Which rate applies to your business income depends entirely on the form you chose. A company can elect a concessional flat regime; a firm or LLP pays a flat 30% plus surcharge and cess; an individual pays slab rates. Surcharge, cess and minimum alternate tax then modify the headline number, sometimes substantially.

⚠ **Rates as at FY 2025-26 (AY 2026-27) under the Income-tax Act, 1961**
Rates are set by the Finance Act each year. The **Income-tax Act, 2025** is scheduled to replace the 1961 Act from **1 April 2026**, introducing the unified "tax year" concept. Section numbers and some mechanics will change. **Verify every figure below on incometax.gov.in and with your CA before filing.**

Company rates

Regime	Base rate	Surcharge	Cess	Effective rate	C
Section 115BAA — concessional regime for domestic companies	22%	10% flat	4%	**~25.168%**	Fo de ex in ac de SE IA 8(8(**Ir** or El **1(** re
Section 115BAB — new manufacturing companies	15%	10% flat	4%	**~17.16%**	Co in or sp ar co m th da **w w op Fo** av sc
Normal rate — turnover up to the prescribed limit in the specified earlier year	25%	7% if income > ₹1 crore; 12% if > ₹10 crore	4%	~26% to ~29.12%	Ca de **M**

Normal rate — other domestic companies	30%	7% / 12%	4%	~31.2% to ~34.94%	M
MAT — Section 115JB	15% of book profit	As applicable	4%	~15.6% to ~17.47%	**D** to op 1 1

Firms and LLPs

Item	Rate
Base rate on total income	**30%** flat — no slabs
Surcharge	12% where total income exceeds ₹1 crore (₹10,000,000)
Health and Education Cess	4% on tax plus surcharge
Effective rate	**31.2%**, rising to **34.944%** above ₹1 crore
AMT — Alternate Minimum Tax, Section 115JC	18.5% of adjusted total income, where specified deductions are claimed. Verify applicability and the current rate
Partner remuneration	Deductible within Section 40(b) limits, taxed in the partner's hands as business income
Interest on partner capital	Deductible up to **12% per annum** simple interest, if authorised by the deed
Profit share to partners	**Exempt** in the partner's hands under Section 10(2A) — no second layer of tax
Presumptive taxation	**Section 44AD available to a partnership firm; not available to an LLP**

A worked tax computation for a profitable services company

TEXT

KAVERI DATA SYSTEMS PRIVATE LIMITED
Computation of total income for FY 2025-26 (AY 2026-27)
Illustrative only. Verify every provision with your CA.

REVENUE	
Domestic software services	1,20,00,000
Export of services (zero-rated under GST)	2,40,00,000
Total revenue	3,60,00,000
OPERATING EXPENSES	
Employee benefits (8 employees)	1,56,00,000
Director remuneration (2 founders)	48,00,000
Contractor and freelancer costs	24,00,000
Cloud and infrastructure	30,00,000
Office rent	14,40,000
Software subscriptions	7,20,000
Professional fees (CA, CS, legal)	6,00,000
Travel and conveyance	5,40,000
Marketing and events	4,80,000
Insurance	2,40,000
Other administrative	6,00,000
Total operating expenses	3,04,20,000
EBITDA	55,80,000
Depreciation as per Companies Act	9,60,000
PROFIT BEFORE TAX (book)	46,20,000
COMPUTATION OF TOTAL INCOME UNDER THE INCOME-TAX ACT	
Profit before tax as per books	46,20,000
ADD BACK	
Depreciation as per Companies Act	9,60,000
Provision for gratuity (unfunded, not paid)	1,80,000
Disallowance u/s 43B - GST and PF paid after the due date of filing the return	0
Disallowance u/s 43B(h) - MSME vendor payments outstanding beyond 45 days at year end	2,40,000
Disallowance u/s 40(a)(ia) - 30% of payments where TDS was not deducted (Rs 3,00,000)	90,000
Penalty and fines (late GST fee)	18,000
CSR expenditure (not applicable yet)	0
Sub-total of add-backs	14,88,000
LESS	

```
    Depreciation as per Income-tax Act, Sec. 32      11,40,000
    Deduction u/s 80JJAA for new employees
      (30% of additional employee cost, 3 years,
       subject to conditions)                         4,20,000
                                                    ----------
                                                     15,60,000

  TOTAL INCOME                                       45,48,000

TAX UNDER SECTION 115BAA (22% concessional regime)
  Tax @ 22% on 45,48,000                             10,00,560
  Surcharge @ 10%                                     1,00,056
                                                    ----------
                                                     11,00,616
  Health & Education Cess @ 4%                          44,025
                                                    ----------
  TOTAL TAX LIABILITY                                11,44,641
  Effective rate on total income                        25.17%

  MAT u/s 115JB: NOT APPLICABLE under 115BAA

TAX UNDER THE NORMAL REGIME (for comparison, 25% slab)
  Tax @ 25% on 45,48,000                             11,37,000
  Surcharge @ 7% (income < Rs 1 crore → NIL)                 0
  Cess @ 4%                                             45,480
                                                    ----------
  TOTAL                                              11,82,480
  BUT additional depreciation and certain deductions
  would be available, which could reduce total income.
  MAT u/s 115JB would need to be computed and compared.

DECISION: at this profile, 115BAA is marginally better AND
simpler (no MAT computation). But the election is IRREVOCABLE.
Model it across a 3-5 year horizon before filing Form 10-IC.

ADVANCE TAX SCHEDULE on Rs 11,44,641
  15 Jun 2025   15%   Rs 1,71,696
  15 Sep 2025   45%   Rs 5,15,088  cumulative
  15 Dec 2025   75%   Rs 8,58,481  cumulative
  15 Mar 2026  100%   Rs 11,44,641 cumulative
  Shortfall → interest u/s 234C at 1% per month per instalment.
```

✕ **Section 115BAA is irrevocable**

Once a domestic company exercises the option under Section 115BAA, it **cannot be withdrawn** for that year or any subsequent year. You permanently forgo additional depreciation under Section 32(1)(iia), the SEZ deduction under Section 10AA, most Chapter VI-A profit-linked deductions, and any brought-forward MAT credit. For a company with a large planned capital expenditure or an SEZ unit, the normal regime can be materially better. Model both over several years, with your CA, before filing Form 10-IC.

Presumptive Taxation — Sections 44AD and 44ADA

Presumptive taxation lets eligible small taxpayers declare a deemed percentage of turnover as income, skip detailed books of account, and avoid a tax audit. For a solo software consultant it is the single largest administrative and often financial advantage available in Indian tax law — and it is unavailable to an LLP or a company, which is a strong argument for staying a proprietorship longer than instinct suggests.

⚠ **Limits as at FY 2025-26 — verify on incometax.gov.in**

The turnover and gross receipt limits under Sections 44AD and 44ADA were raised, with the higher limits conditional on cash receipts not exceeding 5% of total receipts. The Income-tax Act, 2025 takes effect 1 April 2026. Confirm current limits, rates and conditions before relying on them.

Section 44AD — eligible business

Attribute	Position
Who is eligible	**Resident** individual, HUF, or **partnership firm** (not an LLP) carrying on an eligible business
Who is excluded	LLPs; companies; persons carrying on a profession covered by Section 44AA(1); persons earning commission or brokerage income; agency businesses; persons claiming deductions under Sections 10A/10AA/10B/10BA or Chapter VI-A Part C in the relevant year
Turnover limit	**₹2 crore** (₹20,000,000), raised to **₹3 crore** (₹30,000,000) where cash receipts do not exceed **5%** of total turnover
Deemed income	**8%** of turnover, reduced to **6%** for turnover received through account payee cheque, bank draft, ECS or other prescribed electronic modes
You may declare more	Yes — you may declare a higher income than the deemed percentage
You may declare less	Only if you maintain books under Section 44AA and get them audited under Section 44AB
Further deductions	**No** business expenses are separately deductible — depreciation is deemed allowed. Chapter VI-A deductions (80C, 80D etc.) are still available against gross total income
Books of account	Not required to be maintained under Section 44AA(2)
Advance tax	Single instalment by **15 March** — Section 211(1) proviso
Return form	ITR-4 (Sugam)

Section 44ADA — eligible profession

Attribute	Position
Who is eligible	**Resident** individual or partnership firm (not an LLP) engaged in a profession referred to in **Section 44AA(1)**
Which professions	Legal, medical, engineering, **architectural**, accountancy, **technical consultancy**, interior decoration, and other notified professions including **authorised representative, film artist, company secretary and information technology professionals** per CBDT notification. **Confirm that your activity falls within the notified list**
Gross receipts limit	**₹50 lakh** (₹5,000,000), raised to **₹75 lakh** (₹7,500,000) where cash receipts do not exceed **5%** of total gross receipts
Deemed income	**50%** of gross receipts
Further deductions	None separately; depreciation deemed allowed
Books of account	Not required
Advance tax	Single instalment by **15 March**
Return form	ITR-4 (Sugam)

✕ **Is a software developer a "profession" under 44ADA or a "business" under 44AD?** This matters enormously — 50% deemed income versus 6%. The CBDT notification under Section 44AA(1) includes "technical consultancy" and notified information technology professionals. A consultant providing technical advisory and bespoke development is commonly treated as covered by 44ADA. A business reselling software licences, running a SaaS product with a subscription model, or operating a development agency with employees looks much more like a **business** under 44AD. There is genuine ambiguity and the characterisation has been litigated. **Get a written view from your CA for your facts before you choose, and be consistent year on year.**

The five-year lock-in — Section 44AD(4) and (5)

TEXT

```
THE RULE (applies to Section 44AD; NOT to 44ADA)

If you declare income under Sec. 44AD for a year, and then in
any of the FIVE succeeding years you declare income NOT in
accordance with Sec. 44AD (i.e. you opt out and declare lower
actual profit), then:

  (a) you are DEBARRED from claiming Sec. 44AD for the FIVE
      assessment years subsequent to the year of opting out, AND

  (b) you must maintain books of account under Sec. 44AA and
      get them AUDITED under Sec. 44AB for those years, if your
      total income exceeds the basic exemption limit.

WORKED TIMELINE
  AY 2024-25  Declared u/s 44AD at 6%.                  OK
  AY 2025-26  Declared u/s 44AD at 6%.                  OK
  AY 2026-27  Bad year. Actual profit 2%. You opt out
              and declare actual profit of 2%.          OPT-OUT YEAR
  AY 2027-28  DEBARRED from 44AD. Books + audit required.
  AY 2028-29  DEBARRED.
  AY 2029-30  DEBARRED.
  AY 2030-31  DEBARRED.
  AY 2031-32  DEBARRED.
  AY 2032-33  Eligible for 44AD again.

CONSEQUENCE: one bad year handled carelessly costs you five
years of audit fees (Rs 15,000-40,000 each) and full
bookkeeping. Before opting out, compute whether declaring
the deemed 6% and paying tax on profit you did not earn is
cheaper than five years of audit.

NOTE: Section 44ADA does NOT contain an equivalent lock-in.
A professional can move in and out year to year. Verify the
current text of both provisions on incometax.gov.in.
```

Three worked comparisons

Comparison 1 — Solo consultant, ₹40 lakh receipts, low expenses

Comparison 2 — Development agency, ₹1.8 crore turnover, high expenses

Comparison 3 — ₹68 lakh consultant, proprietorship vs LLP vs Pvt Ltd

Income Tax at the Promoter Level

An owner-manager chooses how to extract money from their own business, and the choice has a large tax consequence. Salary, director's remuneration, dividend and capital gains on an eventual share sale are taxed differently, deductible differently to the entity, and carry different compliance. Decide deliberately, document it with a board resolution, and keep it consistent.

Old regime versus new regime

> ⚠ **Slabs as at FY 2025-26 (AY 2026-27) — verify on incometax.gov.in**
> The new regime under Section 115BAC is the **default**; the old regime must be opted into. Slabs, rebate thresholds and the standard deduction have been revised in successive Finance Acts, and the Income-tax Act, 2025 applies from 1 April 2026. Confirm every number before computing.

Feature	Old regime	New regime — Section 115BAC
Status	Must be opted into; business income taxpayers use **Form 10-IEA**	**Default**
Slabs	Fewer, wider slabs with the top rate reached earlier	More, narrower slabs with lower rates at the bottom
Standard deduction on salary	Available	Available, at an enhanced amount — verify current figure
Section 80C — PF, ELSS, LIC, tuition, principal repayment	Available	Not available
Section 80D — health insurance	Available	Not available
HRA exemption — Section 10(13A)	Available	Not available
LTA exemption	Available	Not available
Interest on self-occupied housing loan — Section 24(b)	Available	Not available
Employer's NPS contribution — Section 80CCD(2)	Available	Available
Section 80JJAA — new employee cost	Available	Available
Switching	A salaried person may switch each year. A person with **business income** may switch out of the new regime only **once**, and once they revert to the new regime they cannot opt out again	Same restriction

Rule of thumb for an engineer

The new regime generally wins if your deductions are small — no home loan, modest insurance, no HRA because you own your home or live with family. The old regime generally wins if you have a housing loan interest deduction, a full ₹1.5 lakh of 80C, HRA in a metro, and health insurance for yourself and parents. The crossover moves every Budget. Compute both in the tax portal's calculator every year; do not decide once and forget.

Salary versus dividend versus director's remuneration

Mode	Deductible to the company?	Taxed in your hands as	TDS	Other consequences
Salary to an executive director	Yes — business expense	Income from salary; standard deduction available	Section 192, at your average rate	Attracts PF if the company is covered and you are an employee; professional tax; forms part of Form 16
Sitting fees / commission to a non-executive director	Yes, within Section 197 limits	Income from other sources or business income	Section 194J at 10%	**GST under reverse charge** payable by the company
Dividend	No — paid out of post-tax profit	Income from other sources, at slab rate	Section 194 at 10% above the threshold	Requires distributable profits, a board resolution, and compliance with Section 123; deposit in a separate account within 5 days; pay within 30 days
Interest on a loan you gave the company	Yes, if at arm's length	Income from other sources	Section 194A at 10%	Must be a genuine loan with documentation; company must comply with deposit rules
Rent for premises you own	Yes, at market rate	Income from house property, with 30% standard deduction	Section 194-I at 10%	A legitimate and often efficient route; must be at market rate and documented with a lease

Loan from the company to you	N/A	**Deemed dividend** under Section 2(22)(e) if you hold 10% or more voting power and the company has accumulated profits	—	**Avoid.** Taxed fully in your hands with no corresponding deduction to the company

Worked take-home comparison for an owner-manager

TEXT

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SETUP
  Private limited company, single owner-director.
  Profit available before any owner compensation: Rs 50,00,000
  Company on Sec. 115BAA (effective 25.168%).
  Owner on the OLD regime, with 80C Rs 1,50,000 and
  80D Rs 25,000. All figures illustrative for FY 2025-26.

STRATEGY 1 - ALL SALARY
  Director salary                              Rs 50,00,000
  Company profit after salary                  Rs          0
  Company tax                                  Rs          0

  Owner's computation
    Gross salary                               Rs 50,00,000
    Less standard deduction (illustrative)     Rs     50,000
    Less 80C + 80D                             Rs   1,75,000
    Total income                               Rs 47,75,000
    Tax (old regime slabs, illustrative)       Rs 12,45,000
    Cess 4%                                    Rs     49,800
    TOTAL PERSONAL TAX                         Rs 12,94,800

  CASH TO OWNER = 50,00,000 - 12,94,800      = Rs 37,05,200
  TOTAL TAX PAID (company + owner)           = Rs 12,94,800
  EFFECTIVE RATE                             =       25.90%

STRATEGY 2 - ALL DIVIDEND
  Director salary                              Rs          0
  Company taxable profit                       Rs 50,00,000
  Company tax @ 25.168%                        Rs 12,58,400
  Post-tax profit available                    Rs 37,41,600
  Dividend declared                            Rs 37,41,600

  Owner's computation
    Dividend income                            Rs 37,41,600
    Less 80C + 80D                             Rs   1,75,000
    Total income                               Rs 35,66,600
    Tax (old regime slabs, illustrative)       Rs  8,55,480
    Cess 4%                                    Rs     34,219
    TOTAL PERSONAL TAX                         Rs  8,89,699

  CASH TO OWNER = 37,41,600 - 8,89,699       = Rs 28,51,901
  TOTAL TAX PAID                             = Rs 21,48,099
  EFFECTIVE RATE                             =       42.96%

STRATEGY 3 - BLENDED (salary Rs 24L, rent Rs 6L, dividend rest)
  Director salary                              Rs 24,00,000
  Rent paid to owner for home office           Rs  6,00,000
     (market rate, lease executed, TDS u/s 194-I deducted)
```

```
  Company profit after both                    Rs 20,00,000
  Company tax @ 25.168%                        Rs  5,03,360
  Post-tax profit                              Rs 14,96,640
  Dividend declared                            Rs 14,96,640

  Owner's computation
    Salary                                     Rs 24,00,000
    Less standard deduction                    Rs     50,000
    House property: rent 6,00,000
       less 30% standard deduction             Rs  4,20,000
    Dividend                                   Rs 14,96,640
    Gross total income                         Rs 42,66,640
    Less 80C + 80D                             Rs  1,75,000
    Total income                               Rs 40,91,640
    Tax (old regime slabs, illustrative)       Rs 10,39,992
    Cess 4%                                    Rs     41,600
    TOTAL PERSONAL TAX                         Rs 10,81,592

  CASH TO OWNER = 24,00,000 + 6,00,000
                + 14,96,640 - 10,81,592    = Rs 34,15,048
  TOTAL TAX PAID = 5,03,360 + 10,81,592    = Rs 15,84,952
  EFFECTIVE RATE                           =       31.70%

CONCLUSION AT THIS PROFILE
  All salary          cash Rs 37.05 lakh   eff. rate 25.9%
  Blended             cash Rs 34.15 lakh   eff. rate 31.7%
  All dividend        cash Rs 28.52 lakh   eff. rate 43.0%

  Salary wins because it is DEDUCTIBLE to the company, so the
  profit is taxed once. Dividend is paid from post-tax profit
  and taxed again - double taxation.

CAVEATS THAT CHANGE THE ANSWER
  - Salary must be commercially justifiable for the work done;
    Section 40A(2)(b) allows disallowance of excessive payments
    to related parties.
  - Salary attracts PF if the company is covered, professional
    tax, and gratuity accrual.
  - If you want to retain profit inside the company for growth,
    paying it all as salary defeats that.
  - Surcharge thresholds and marginal relief materially change
    the arithmetic above Rs 50 lakh and Rs 1 crore.
  - The NEW regime changes every number here.
  VERIFY WITH YOUR CA. These figures are illustrative only.
```

Capital gains on a share sale

⚠ **Capital gains rates and holding periods were restructured — verify current position**
The holding period for classification as long-term, the rates for listed and unlisted shares, and the availability of indexation have all been amended in recent Finance Acts. The figures below describe the general framework; **confirm the exact rate, holding period and indexation position applicable to your transaction on incometax.gov.in**. Position as at FY 2025-26.

Asset	Short-term if held	STCG treatment	LTCG treatment
Unlisted shares — your own startup	Up to 24 months	Taxed at your **slab rate**	Taxed at the prescribed LTCG rate for unlisted shares; indexation position must be verified
Listed equity shares (STT paid)	Up to 12 months	Section 111A rate	Section 112A rate above the annual exemption threshold
ESOP shares	From the date of **allotment**, not grant or vesting	Per the underlying share class	Per the underlying share class

ESOP TAXATION — THE TWO-POINT EVENT

TEXT

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ESOPs ARE TAXED TWICE, AT TWO DIFFERENT EVENTS

EVENT 1 - EXERCISE  (taxed as a PERQUISITE under the head SALARY)
  Taxable perquisite = FMV on the date of exercise
                       MINUS the exercise price paid

  Example
    Grant price (exercise price)           Rs    10 per share
    FMV on exercise date (merchant banker
      valuation for unlisted shares)       Rs   450 per share
    Shares exercised                            5,000
    Perquisite value = (450 - 10) x 5,000 = Rs 22,00,000

    This is added to your salary income and taxed at your slab
    rate. The EMPLOYER must deduct TDS under Section 192 on it,
    which creates a real cash problem: you owe tax on paper
    gains before you have sold anything.

    DEFERRAL: eligible start-ups (DPIIT-recognised and
    meeting the Section 80-IAC conditions) may DEFER the TDS
    under Section 192(1C) to the earliest of
      (a) 48 months from the end of the relevant assessment year
      (b) the date of sale of the shares
      (c) the date the employee leaves the company
    VERIFY current eligibility and the deferral period.

EVENT 2 - SALE  (taxed as CAPITAL GAINS)
  Capital gain = Sale consideration
                 MINUS FMV already taxed as perquisite

  Example (continuing)
    Sold 5,000 shares at                   Rs   900 per share
    Sale consideration                     Rs 45,00,000
    Cost of acquisition (= FMV at exercise)Rs 22,50,000
    Capital gain                           Rs 22,50,000
    Holding period measured from the DATE OF ALLOTMENT.
    Rate depends on whether the shares are listed or unlisted
    and on the holding period - VERIFY.

WHAT ENGINEERS GET WRONG
  1. Exercising early in a high-FMV year and owing lakhs in
     perquisite tax on an illiquid asset they cannot sell.
  2. Assuming the holding period runs from GRANT. It runs
     from ALLOTMENT.
  3. Forgetting that the employer deducts TDS at exercise,
     so the net shares or net salary that month is far lower
     than expected.
```

```
4. Not getting a fresh valuation, so the FMV used is
   indefensible.
```

Advance Tax and Self-Assessment

India taxes on a pay-as-you-earn basis. If your total tax liability for the year, after TDS credit, is ₹10,000 (₹10,000) or more, you must pay it in instalments during the year under Section 208. Paying it all in March, or at filing, triggers interest under Sections 234B and 234C that is easy to avoid and routinely incurred.

Instalments — Section 211

Due date	Cumulative percentage of total advance tax liability	Who
15 June	Not less than **15%**	All taxpayers liable to advance tax except those under 44AD/44ADA
15 September	Not less than **45%**	Same
15 December	Not less than **75%**	Same
15 March	**100%**	Same
15 March	**100% in a single instalment**	**Taxpayers declaring income under Section 44AD or 44ADA** — proviso to Section 211(1)

> **Tax paid on or before 31 March counts as advance tax**
> Any amount paid by 31 March of the financial year is treated as advance tax paid during that year. Paying on 28 March still avoids Section 234B, though you will have incurred some 234C interest on earlier shortfalls. Paying on 10 April does not.

Interest under Sections 234A, 234B and 234C

Section	For	Rate	Period	Base
234A	Late filing of the return	1% per month or part of a month	From the day after the due date to the date of filing	Tax on total income less advance tax, TDS, TCS and reliefs
234B	Failure to pay advance tax, or payment of less than 90% of assessed tax	1% per month or part	From 1 April of the assessment year to the date of determination	Assessed tax less advance tax paid
234C	Deferment of individual instalments	1% per month	3 months for each of the first three instalments; 1 month for the final instalment	Shortfall against the prescribed cumulative percentage

TEXT

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WORKED INTEREST COMPUTATION

FACTS
  Total tax liability for FY 2025-26        Rs 6,00,000
  TDS credited during the year              Rs 1,00,000
  Advance tax liability                     Rs 5,00,000

  Actual advance tax paid:
    15 Jun 2025   Rs        0
    15 Sep 2025   Rs        0
    15 Dec 2025   Rs 1,50,000
    15 Mar 2026   Rs 2,00,000
    Total paid    Rs 3,50,000
  Balance Rs 1,50,000 paid as self-assessment tax on
  28 July 2026, with the return filed the same day
  (due date: 31 July 2026, so no 234A).

SECTION 234C - DEFERMENT OF INSTALMENTS

  Instalment 1 (15 Jun) - required 15% of 5,00,000 = 75,000
    Paid by 15 Jun                          = 0
    Shortfall                               = 75,000
    Interest = 75,000 x 1% x 3 months       = Rs 2,250

  Instalment 2 (15 Sep) - required 45% = 2,25,000
    Paid cumulatively by 15 Sep             = 0
    Shortfall                               = 2,25,000
    Interest = 2,25,000 x 1% x 3 months     = Rs 6,750

  Instalment 3 (15 Dec) - required 75% = 3,75,000
    Paid cumulatively by 15 Dec             = 1,50,000
    Shortfall                               = 2,25,000
    Interest = 2,25,000 x 1% x 3 months     = Rs 6,750

  Instalment 4 (15 Mar) - required 100% = 5,00,000
    Paid cumulatively by 15 Mar             = 3,50,000
    Shortfall                               = 1,50,000
    Interest = 1,50,000 x 1% x 1 month      = Rs 1,500
                                              ---------
  TOTAL 234C INTEREST                       = Rs 17,250

SECTION 234B - SHORTFALL IN ADVANCE TAX
  Assessed tax = 6,00,000 - 1,00,000 TDS    = Rs 5,00,000
  90% of assessed tax                       = Rs 4,50,000
  Advance tax paid                          = Rs 3,50,000
  Since 3,50,000 < 4,50,000, Section 234B applies.

  Shortfall = 5,00,000 - 3,50,000           = Rs 1,50,000
```

```
  Period: 1 Apr 2026 to 28 Jul 2026 = 4 months
    (part of a month counts as a full month)
  Interest = 1,50,000 x 1% x 4                  = Rs 6,000

SECTION 234A - LATE FILING
  Return filed 28 Jul 2026, due 31 Jul 2026     = NIL

TOTAL AVOIDABLE INTEREST                        = Rs 23,250

HOW IT COULD HAVE BEEN ZERO
  Pay Rs 75,000 by 15 Jun, Rs 1,50,000 by 15 Sep,
  Rs 1,50,000 by 15 Dec, Rs 1,25,000 by 15 Mar.
  Same Rs 5,00,000 total, spread correctly, no interest.

Rates and mechanics as at FY 2025-26. Verify on
incometax.gov.in; the Income-tax Act, 2025 applies from
1 April 2026.
```

✦ **How to actually do this without a crystal ball**

At each instalment date, take your year-to-date profit from the books, annualise it, compute the tax, and pay the required cumulative percentage. You do not need to be exactly right — Section 234C compares against the prescribed percentage of your **final** liability, so over-paying slightly on the early instalments is cheap insurance. Build it into the quarterly close.

TDS and TCS

Tax Deducted at Source makes you an unpaid collection agent for the Government, with real penalties for failure. For a small technology business, seven or eight sections do almost all the work. The consequence of ignoring them is not just interest — Section 40(a)(ia) disallows 30% of the expense itself, which turns a compliance slip into a direct tax cost.

The sections that actually matter

⚠ **Thresholds and rates as at FY 2025-26 — verify on incometax.gov.in**

TDS rates and thresholds are amended by every Finance Act, and several thresholds were raised recently. Confirm the current rate and threshold for each section before deducting.

Section	Nature of payment	Threshold	Rate	Relevance to a tech business
192	Salary	Where estimated salary exceeds the basic exemption limit	Average rate of tax for the year	Every employee. Requires an annual estimate, monthly deduction and a Form 16
192A	Premature withdrawal of accumulated PF balance	Prescribed threshold	10% (20% without PAN)	EPFO deducts; relevant to departing employees
194	Dividend	Prescribed threshold per shareholder per year	10%	When you declare a dividend to yourself
194A	Interest other than on securities	Prescribed threshold	10%	Interest paid on a director's loan to the company
194C	Payment to a contractor or sub-contractor	Single payment above a threshold, or aggregate in a year above a higher threshold	**1%** if the payee is an individual or HUF; **2%** otherwise	Housekeeping, security, catering, event management, courier contracts, some development agency work
194H	Commission or brokerage	Prescribed annual threshold	2% (verify current rate)	Sales commission to a referral partner
194-I	Rent	Prescribed annual threshold	**2%** for plant, machinery or equipment; **10%** for land, building, furniture or fittings	Office rent, server colocation rent

194-IA	Purchase of immovable property	₹50 lakh (₹5,000,000)	1%	Buying an office; deposited using Form 26QB
194-IB	Rent by an individual/HUF not liable to tax audit	Prescribed monthly threshold	Prescribed rate	A proprietor paying high rent
194J	Fees for **professional** services; fees for **technical** services; royalty; non-compete fees; director's remuneration other than salary	Prescribed annual threshold per payee	**10%** for professional services and royalty; **2%** for technical services and for payees in the business of operating a call centre	**The one you will use most.** Freelance developers, designers, CAs, CSs, lawyers, consultants, auditors
194Q	Purchase of goods	Purchases above ₹50 lakh from a single seller, where your turnover exceeded ₹10 crore in the preceding year	0.1% of the amount above ₹50 lakh	Hardware procurement at scale
194-O	Payment by an e-commerce operator to an e-commerce participant	Prescribed threshold	Prescribed rate (verify)	If you build and operate a marketplace
194R	Benefit or perquisite arising from business or profession	Prescribed annual threshold	10%	Free products or sponsored trips given to influencers, partners or customers
195	Any sum payable to a **non-resident** that is	**No threshold**	Rate in force, as modified by the applicable DTAA	**Critical and commonly missed.** Payments to

	chargeable to tax in India			overseas contractors, foreign software licences, offshore consultants
206AA	Higher rate where the payee has not furnished PAN	—	Higher of the specified rate, the rate in force, or **20%**	Always collect PAN before paying
206AB	Higher rate for a "specified person" who has not filed returns	—	Higher of twice the specified rate, twice the rate in force, or 5%	**Verify whether this provision is still in force** — it has been the subject of amendment. Use the Reporting Portal compliance check if applicable

Section 195 — the overseas payment trap

✕ **Paying an overseas vendor without considering Section 195 is a frequent and expensive error**

Section 195 requires deduction of tax at source on **any** sum payable to a non-resident that is **chargeable to tax in India** — with **no threshold**. Whether a particular payment is chargeable depends on the Income-tax Act, the relevant Double Taxation Avoidance Agreement, and the concepts of business connection, permanent establishment, royalty and fees for technical services. Payments for standard off-the-shelf software have been litigated extensively. Before remitting, your banker will require **Form 15CA** (your declaration) and, in most cases, **Form 15CB** (a Chartered Accountant's certificate) certifying the taxability and the rate. Budget for the 15CB fee and build it into your overseas procurement process. If you under-deduct, the demand lands on you, grossed up.

Deposit and return due dates

Item	Due date	Form
Deposit of TDS, April to February	**7th** of the following month	Challan ITNS-281
Deposit of TDS for **March**	**30 April**	Challan ITNS-281
Deposit under Section 194-IA / 194-IB	30 days from the end of the month	Form 26QB / 26QC (challan-cum-statement)
Quarterly return — **salary**	31 Jul, 31 Oct, 31 Jan, **31 May** (Q4)	**24Q**
Quarterly return — **non-salary resident**	Same dates	**26Q**
Quarterly return — **non-resident**	Same dates	**27Q**
Quarterly return — **TCS**	15th of the month following the quarter	**27EQ**
Form 16 to employees	**15 June**	Form 16, Parts A and B from TRACES
Form 16A to other deductees	15 days from the 26Q due date	Form 16A from TRACES

TRACES and lower-deduction certificates

Item	What it is
TRACES — tdscpc.gov.in	The portal where deductors download Form 16 and 16A, view the justification report for defaults, file correction statements, and track challan consumption. Separate login from the income tax portal
Justification report	Downloaded from TRACES after a return is processed. Lists every short deduction, short payment, late payment and late deduction with the exact interest computed. Read it the moment a default intimation arrives
Form 13 / Section 197	Application by a **deductee** to the Assessing Officer for a certificate authorising deduction at a lower rate or nil rate. Very useful for a consultant whose 194J TDS at 10% far exceeds their actual tax liability because of Section 44ADA
Form 15G / 15H	Self-declarations by resident individuals (15H for senior citizens) that their total income is below the taxable limit, so no TDS should be deducted. Limited applicability to business income
Form 26AS and AIS	Your own tax credit statement and Annual Information Statement on incometax.gov.in. Reconcile these before filing your return — TDS that your customer deducted but did not deposit will not appear, and you cannot claim it

Consequences of default

Default	Consequence	Provision
Failure to deduct	Interest at **1% per month** from the date tax was deductible to the date it is deducted	Sec. 201(1A)(i)
Deducted but not deposited	Interest at **1.5% per month** from the date of deduction to the date of payment	Sec. 201(1A)(ii)
Expense disallowance — resident payee	**30% of the expense disallowed** in computing business income, allowed in the year the TDS is eventually paid	Sec. 40(a)(ia)
Expense disallowance — non-resident payee	**100% of the expense disallowed**	Sec. 40(a)(i)
Late filing of the TDS return	Fee of **₹200 per day** until filed, capped at the amount of TDS	Sec. 234E
Failure to file / incorrect information	Penalty from ₹10,000 to ₹1,00,000	Sec. 271H
Failure to deduct or pay	Penalty equal to the amount of tax not deducted	Sec. 271C
Failure to pay deducted tax to the Government	**Rigorous imprisonment** from 3 months to 7 years, plus fine	Sec. 276B
Deemed assessee-in-default	The entire TDS amount recoverable from you, unless the payee has paid the tax and furnished the prescribed CA certificate in Form 26A	Sec. 201(1)

TEXT

```
THE COST OF ONE MISSED DEDUCTION

FACTS
  You paid a freelance developer Rs 12,00,000 during FY 2025-26.
  Section 194J applies at 10%. You deducted NOTHING.

CONSEQUENCE 1 - Expense disallowance u/s 40(a)(ia)
  30% of Rs 12,00,000                        = Rs 3,60,000
  disallowed in computing business income.
  Tax effect at 25.168% (company on 115BAA)  = Rs   90,605

CONSEQUENCE 2 - You are an assessee-in-default u/s 201(1)
  TDS not deducted                           = Rs 1,20,000
  Recoverable from YOU, unless the developer
  has paid the tax and you obtain a CA
  certificate in Form 26A.

CONSEQUENCE 3 - Interest u/s 201(1A)
  1% per month from the date deductible to
  the date deducted. If 14 months elapse:
  Rs 1,20,000 x 1% x 14                      = Rs   16,800

CONSEQUENCE 4 - Penalty u/s 271C
  Up to the amount of tax not deducted       = Rs 1,20,000
  (discretionary; reasonable cause is a defence)

CONSEQUENCE 5 - Late filing fee u/s 234E
  Rs 200 per day for the quarters not filed,
  capped at the TDS amount.

TOTAL EXPOSURE, worst case          up to about Rs 2,47,000
on a payment of Rs 12,00,000 - roughly 20% of the invoice.

WHAT YOU SHOULD HAVE DONE
  Deducted Rs 1,20,000, paid the developer Rs 10,80,000,
  deposited Rs 1,20,000 by the 7th of the following month,
  filed 26Q, and issued Form 16A. Total cost: fifteen
  minutes a month.
```

Tax Audit and Statutory Audit

These are two entirely different things that founders routinely conflate. A **statutory audit** is required by the Companies Act for every company, regardless of revenue, every year. A **tax audit** is required by the Income-tax Act only when turnover crosses a threshold. A

company with ₹5 lakh of revenue needs a statutory audit and does not need a tax audit; a proprietorship with ₹3 crore of revenue may need a tax audit and will never need a statutory audit.

Statutory audit under the Companies Act

Attribute	Position
Statute	Sections 139 to 148, Companies Act 2013
Applies to	**Every company** — private, public, OPC, Section 8 — from the first financial year, irrespective of turnover, profit or activity
Who may be appointed	A Chartered Accountant in practice, or a firm of CAs, subject to the disqualifications in Section 141
First auditor	Appointed by the Board within 30 days of registration; holds office until the conclusion of the first AGM
Subsequent appointment	At the AGM, for a term of **five consecutive years**, with ratification requirements as amended
Rotation	Mandatory rotation applies to listed companies and prescribed classes of unlisted public and private companies above specified capital, turnover or borrowing thresholds (Section 139(2) and Rule 5). **Verify whether your company is in scope**
Output	Audit report under Section 143, plus the **CARO** report where applicable, plus a report on internal financial controls for prescribed companies
Filing	Audited financial statements filed with the ROC in **AOC-4**; auditor appointment filed in **ADT-1**
Indicative cost	₹20,000–₹60,000 a year for a small private company at metro rates
LLP position	Audit required only if turnover exceeds **₹40 lakh** (₹4,000,000) or contribution exceeds **₹25 lakh** (₹2,500,000)

Tax audit under Section 44AB

> ⚠ **Thresholds as at FY 2025-26 — verify on incometax.gov.in**
> The Section 44AB thresholds, and particularly the conditions for the higher ₹10 crore limit, have been amended several times. Confirm the current text, including the definition of "cash receipts" for this purpose, before concluding that an audit is not required.

Clause	Who must get accounts audited	Threshold
44AB(a)	Person carrying on **business**	Total sales, turnover or gross receipts exceed **₹1 crore** (₹10,000,000)
44AB(a), proviso	Person carrying on business where **cash receipts** do not exceed 5% of total receipts **and cash payments** do not exceed 5% of total payments	Threshold raised to **₹10 crore** (₹100,000,000)
44AB(b)	Person carrying on a **profession**	Gross receipts exceed **₹50 lakh** (₹5,000,000); **₹75 lakh** where the 5% cash condition is met — **verify**
44AB(c)	Person claiming profits lower than the deemed rate under Sections 44AE, 44BB or 44BBB	—
44AB(d)	Person claiming profits lower than 50% under Section 44ADA, where income exceeds the basic exemption limit	—
44AB(e)	Person to whom Section 44AD(4) applies (opted out of presumptive within the lock-in), where income exceeds the basic exemption limit	—

✓ **The ₹10 crore relaxation is the single most useful provision for a digital business**
If substantially all your receipts and payments are through banking channels — which is true of almost every software business — the tax audit threshold rises from ₹1 crore to **₹10 crore**. This saves a small company ₹20,000–₹50,000 a year and weeks of work. To qualify, both conditions must be met: cash **receipts** ≤5% of total receipts **and** cash **payments** ≤5% of total payments. Note that a payment by cheque or bank draft that is **not** account payee is treated as a cash payment for this purpose. Keep petty cash genuinely petty.

The forms

Form	When used	Who signs
Form 3CA	Where the accounts are **already required to be audited** under another law — i.e., every company	The tax auditor, a CA in practice
Form 3CB	Where accounts are **not** required to be audited under any other law — proprietorships, firms, most LLPs	The tax auditor
Form 3CD	The **statement of particulars** annexed to either 3CA or 3CB. Around 44 clauses covering everything from payments to related parties and Section 40(a) disallowances to GST turnover reconciliation, loans taken and repaid in cash, and MSME payment delays	The tax auditor; the assessee verifies and accepts it on the portal
Form 3CEB	Transfer pricing report where there are international transactions or specified domestic transactions with associated enterprises	A CA in practice; due 31 October
Due date	Tax audit report by **30 September**; return by **31 October** where audit applies. Extended frequently	—
Penalty for not getting audited	**Section 271B**: 0.5% of turnover or gross receipts, subject to a maximum of ₹1,50,000	—

Internal audit — Section 138

Required for prescribed classes of companies under Rule 13 of the Companies (Accounts) Rules 2014 — based on turnover, outstanding loans and borrowings, and paid-up capital thresholds that differ for listed, unlisted public and private companies. A small private company is normally well below the thresholds. **Verify the current thresholds on mca.gov.in** as you scale, particularly once borrowings from banks exceed the prescribed limit.

What the auditor will ask you for

- ☐ Trial balance, general ledger and all sub-ledgers for the year
- ☐ Bank statements for all accounts for the full year, plus bank reconciliation statements at year end
- ☐ Bank confirmation letters as at 31 March
- ☐ Sales register and purchase register reconciled to GSTR-1 and GSTR-3B
- ☐ GST returns for all twelve months, the annual return, and the electronic credit and cash ledgers
- ☐ TDS challans, quarterly returns and Form 26AS reconciliation
- ☐ Fixed asset register with additions, deletions and depreciation workings
- ☐ Inventory records and a physical verification statement, where applicable
- ☐ Debtors and creditors ageing, with confirmations for significant balances
- ☐ Loan agreements, sanction letters and interest computations
- ☐ Payroll register, PF and ESIC challans, professional tax challans, gratuity actuarial valuation if applicable
- ☐ Related party transactions schedule with supporting agreements
- ☐ Board and general meeting minutes, and the statutory registers
- ☐ Significant contracts and agreements entered into during the year
- ☐ Management representation letter signed by the directors
- ☐ Details of MSME vendors and payments outstanding beyond 45 days, for Section 43B(h) and the Schedule III disclosure

ROC Annual Compliance for a Private Company

The Companies Act imposes a fixed annual cycle of meetings and filings on every private limited company, regardless of whether it traded. Additional fees for late filing accrue at ₹100 per day per form with **no upper cap**, and three consecutive years of non-filing

disqualifies every director for five years. This is the compliance stream most engineer-founders neglect and the one with the harshest consequences.

Meetings

Meeting	Requirement	Section	Notes
First board meeting	Within **30 days** of incorporation	173(1)	—
Board meetings	Minimum **4** per calendar year, with not more than **120 days** between consecutive meetings	173(1)	A **small company** and an OPC need only **2** per year, one in each half, with a minimum gap of 90 days
Notice of board meeting	**7 days** in writing, or shorter with consent	173(3)	Email is acceptable
Quorum	One-third of total strength or **2 directors**, whichever is higher	174	—
Annual General Meeting	Within **6 months** of the financial year end, and not more than **15 months** after the previous AGM. First AGM within 9 months of the first financial year end	96	In practice this means **30 September** for a 31 March year end
Notice of AGM	**21 clear days**, or shorter with consent of 95% of members entitled to vote	101	—
AGM quorum (private company)	**2 members** personally present	103	—
Minutes	Entered within **30 days** of the meeting in a bound minute book, serially numbered, signed by the chairman	118	Loose-leaf permitted if bound periodically

Are you a "small company"?

Section 2(85) defines a small company by reference to paid-up capital and turnover thresholds, which have been revised upward by notification. A small company gets real relief: only two board meetings a year, a simplified annual return in **MGT-7A** instead of MGT-7, exemption from preparing a cash flow statement, and exemption from auditor rotation. **Verify the current thresholds on mca.gov.in** — they have moved more than once. A holding company, a subsidiary, a Section 8 company and a company governed by a special Act are excluded from the definition regardless of size.

The annual filing table

Fees and due dates as at FY 2025-26 — verify on mca.gov.in

MCA fee schedules under the Companies (Registration Offices and Fees) Rules 2014 and the additional-fee multipliers are revised periodically. Due dates are occasionally extended by general circular.

Form	Purpose	Periodicity	Due date	Penalty for delay
AOC-4	Filing of financial statements with the ROC, including the balance sheet, profit and loss account, cash flow statement where required, directors' report and auditor's report	Annual	**30 days** from the date of the AGM	**₹100 per day**, no cap, plus penalty on the company and officers under Section 137(3)
AOC-4 XBRL	Same, in XBRL format	Annual	Same	Same. Applies to listed companies and prescribed classes
AOC-4 CFS	Consolidated financial statements	Annual	Same	Same. Applies where there are subsidiaries, associates or joint ventures
MGT-7	Annual return — shareholding pattern, directors, meetings held, changes during the year, indebtedness, penalties	Annual	**60 days** from the date of the AGM	**₹100 per day**, no cap, plus penalty under Section 92(5)
MGT-7A	Abridged annual return	Annual	Same	Same. For OPCs and **small companies**
MGT-8	Certification of the annual return by a practising Company Secretary	Annual	With MGT-7	Required only above prescribed capital or turnover thresholds

ADT-1	Intimation of appointment of auditor	On appointment, and at each 5-year reappointment	**15 days** from the AGM or board meeting	₹100 per day
DIR-3 KYC / **DIR-3 KYC Web**	Annual KYC of every person holding a DIN as at 31 March	Annual	**30 September**	**₹5,000 per DIN**, flat, and the DIN is deactivated until paid
DPT-3	Return of deposits and of particulars of transactions not considered deposits (which includes loans from directors, share application money pending allotment, and advances from customers)	Annual	**30 June**, for the year ended 31 March	₹100 per day plus penalty under the Deposit Rules
MSME-1	Half-yearly return of outstanding payments to micro and small enterprises exceeding 45 days	Half-yearly	**30 April** (Oct–Mar) and **31 October** (Apr–Sep)	Penalty under Section 405(4) — fine on the company and officers
BEN-2	Return of significant beneficial owners, filed after receiving a declaration in BEN-1	On event	**30 days** from receipt of BEN-1	₹100 per day plus penalty under Section 90(11)
PAS-3	Return of allotment of shares	On event	**15 days** from allotment (30 days in some cases — verify)	₹100 per day

SH-7	Notice of increase in authorised share capital	On event	**30 days** from the resolution	₹100 per day plus stamp duty on the increase
DIR-12	Appointment, resignation or change in designation of a director	On event	**30 days**	₹100 per day
INC-22	Change of registered office address	On event	**30 days**	₹100 per day
CHG-1 / CHG-4	Creation, modification or satisfaction of a charge	On event	30 days from creation, extendable with additional fee	Escalating additional fee; an unregistered charge is void against the liquidator
MR-1	Return of appointment of managing director, whole-time director or manager	On event	60 days	₹100 per day
Form 11 (LLP)	LLP annual return	Annual	**30 May**	**₹100 per day**, no cap, under Section 69 of the LLP Act
Form 8 (LLP)	Statement of Account and Solvency	Annual	**30 October**	₹100 per day, no cap

✕ **"₹100 per day, no cap" is not a rounding error**

A company that forgets AOC-4 and MGT-7 for two years accrues roughly ₹73,000 per form in additional fees — ₹146,000 for the pair — before any penalty under Sections 92(5) and 137(3). Add the income tax consequences and the professional fees to regularise, and a two-year lapse costs more than three years of doing it properly. At three continuous years, Section 164(2) disqualifies every director for five years across all companies. Set calendar reminders on the day you incorporate.

Statutory registers — the ongoing obligation

Maintaining registers is not a one-time act at incorporation. The Register of Members must be updated on every transfer; the Register of Directors on every change; MBP-4 on every contract in which a director is interested; and the Register of Charges on every secured borrowing. These registers are the first thing a due-diligence lawyer asks for, and reconstructing three years of them under time pressure is a standard and expensive startup experience.

Payroll Statutes

The moment you hire, a new compliance stream opens: provident fund, employees' state insurance, professional tax, gratuity, bonus, maternity benefit, and an Internal Committee under the POSH Act. The four Labour Codes have redefined "wages" in a way that directly changes how much PF and gratuity you owe, which changes how you should structure CTC.

⚠ **Labour Codes brought into force from late 2025 — state rules still landing**

The Code on Wages 2019, the Industrial Relations Code 2020, the Code on Social Security 2020 and the Occupational Safety, Health and Working Conditions Code 2020 consolidate and replace 29 central labour laws. They were brought into force from late 2025, but the **rules framed by each state** determine much of the operational detail, and those are still being notified. Your obligations depend on the state in which your establishment is registered. **Verify the current position for your state before changing a single salary structure.** Sources: **labour.gov.in**, **epfindia.gov.in**, **esic.gov.in**.

Employees' Provident Fund

Attribute	Position (verify current)
Governing law	Employees' Provident Funds and Miscellaneous Provisions Act, 1952, now substantially subsumed into the Code on Social Security, 2020
Coverage threshold	Establishments employing **20 or more** persons. Voluntary coverage possible below that with employer and employee consent
Employee coverage	Compulsory for employees drawing basic wages up to **₹15,000** (₹15,000) per month. Above that, coverage is optional but once covered, continues
Employee contribution	**12%** of basic wages plus dearness allowance plus retaining allowance
Employer contribution	**12%**, split as **8.33% to EPS** (Employees' Pension Scheme, capped on a wage ceiling of ₹15,000, i.e. a maximum of ₹1,250 per month) and the **balance 3.67% to EPF**
Administrative charges	A small percentage of wages payable by the employer in addition — verify the current rate
EDLI	Employees' Deposit Linked Insurance contribution payable by the employer
UAN	Universal Account Number — a permanent number for each employee across jobs. Must be generated and linked to Aadhaar and bank account
Monthly process	Generate and upload the **ECR** (Electronic Challan cum Return) on the EPFO employer portal, generate the challan, pay by the **15th** of the following month
Exit marking	Date of exit must be marked for every leaver, or their next employer cannot transfer the account
Penalty for delay	Interest under Section 7Q and **damages under Section 14B**, which can be substantial and are levied as a percentage of arrears based on the period of default

Employees' State Insurance

Attribute	Position (verify current)
Governing law	Employees' State Insurance Act, 1948, now within the Code on Social Security, 2020
Coverage threshold	Establishments employing **10 or more** persons (20 in some states) in implemented areas
Wage ceiling for employee coverage	Gross wages up to **₹21,000** (₹21,000) per month; ₹25,000 for persons with disability
Employee contribution	**0.75%** of wages
Employer contribution	**3.25%** of wages
Contribution periods	April–September and October–March; benefit periods follow with a lag
Payment	By the **15th** of the following month on esic.gov.in
What it buys	Medical care at ESI hospitals and dispensaries for the insured person and dependants, sickness benefit, maternity benefit, disablement benefit, dependants' benefit, funeral expenses
Practical note for a tech company	Most software engineers earn above ₹21,000 gross, so they are outside coverage. But office assistants, housekeeping staff on your rolls, interns and junior support staff frequently are covered — and once the establishment crosses the headcount threshold, you must register even if only one person is below the wage ceiling

Professional tax

Aspect	Detail
Nature	A **state** tax on professions, trades, callings and employments, levied under Article 276 of the Constitution
Constitutional cap	**₹2,500 per person per year** — this is a constitutional ceiling and cannot be exceeded by any state
States that levy it	Maharashtra, Karnataka, West Bengal, Tamil Nadu, Telangana, Andhra Pradesh, Gujarat, Madhya Pradesh, Kerala, Odisha, Assam, Bihar, Jharkhand, Chhattisgarh, Meghalaya, Sikkim, Tripura, Puducherry and others
States that do not	Delhi, Haryana, Uttar Pradesh, Rajasthan, Punjab (historically; **verify current position**), and several others
Two registrations	**PTEC** — Professional Tax Enrolment Certificate, for the entity's own liability and for directors or partners. **PTRC** — Professional Tax Registration Certificate, for deducting from employees' salaries
Deduction	Deducted monthly from salary, deposited and returned on the state portal. Slabs vary by state and by salary band
Income tax treatment	Professional tax paid is deductible from salary income under Section 16(iii) in the **old** regime

Gratuity, bonus, maternity and POSH

Statute	Applies when	Obligation
Payment of Gratuity Act, 1972 (now within the Code on Social Security)	10 or more employees	Gratuity at **15 days' wages for every completed year** of service, payable on resignation, retirement, death or disablement, after **5 years** of continuous service (the 5-year condition is waived on death or disablement). Statutory ceiling applies. Provision must be made in the accounts, ideally on an actuarial basis
Payment of Bonus Act, 1965	20 or more employees; employees drawing wages up to the prescribed ceiling	Minimum **8.33%** and maximum **20%** of salary or wages, payable within **8 months** of the close of the accounting year (so by **30 November** for a 31 March year end). Payable even in a loss year at the minimum rate
Maternity Benefit Act, 1961	10 or more employees	**26 weeks** paid leave for the first two children, 12 weeks thereafter; 12 weeks for adopting and commissioning mothers; nursing breaks; a **crèche facility** where 50 or more employees; prohibition on dismissal during maternity leave; work-from-home where the nature of work permits
POSH Act, 2013 — Sexual Harassment of Women at Workplace (Prevention, Prohibition and Redressal) Act	**10 or more** employees	Constitute an **Internal Committee** with a woman presiding officer, at least two employee members and **one external member** from an NGO or familiar with the issues; frame and display a policy; conduct awareness programmes; file an **annual report** with the District Officer; include the number of cases in the Directors' Report under Section 134
Shops and Establishments Act (state)	On opening a commercial establishment	Registration, display of the certificate, maintenance of registers of employment and wages, compliance with working hours, weekly off, leave and overtime rules as prescribed by the state

Equal Remuneration (now in the Code on Wages)	All employers	No discrimination in wages on the ground of gender for the same work or work of a similar nature

✕ **POSH is a hard legal requirement at ten employees, not a nice-to-have**
Failure to constitute an Internal Committee attracts a fine, and repeated non-compliance can lead to cancellation of the business licence or registration. The committee must include an external member — you cannot staff it entirely internally. The annual report to the District Officer and the disclosure in the Directors' Report are both mandatory and both commonly missed. This is one of the few labour compliances where a single complaint can escalate quickly and publicly.

The Labour Codes' redefinition of "wages"

⚠ **This is the change that will alter your payroll cost — verify the position for your state**
The Code on Wages, 2019 introduces a **single, uniform definition of "wages"** across PF, gratuity, bonus and other social security computations. The definition includes basic pay, dearness allowance and retaining allowance, and **excludes** a specified list of allowances — but with a critical proviso: if the **excluded** allowances exceed a prescribed percentage (commonly stated as **50%**) of total remuneration, the excess is **added back** to wages. The practical effect is that employers can no longer keep "basic" at 20–30% of CTC and load the rest into allowances to minimise PF and gratuity. **Confirm the exact proviso, the percentage, and your state's rules before restructuring any salary.**

TEXT

```
WORKED SALARY STRUCTURE – BEFORE AND AFTER THE WAGE DEFINITION

EMPLOYEE: Senior Software Engineer, annual CTC Rs 24,00,000
          (Rs 2,00,000 per month)

_____________________________________________________________

STRUCTURE A – "BEFORE" (traditional allowance-heavy design)
_____________________________________________________________

  Basic salary                    Rs  60,000   30% of monthly
  House Rent Allowance            Rs  30,000
  Special allowance               Rs  78,000
  Conveyance allowance            Rs   2,400
  Telephone/internet allowance    Rs   3,000
  Books and periodicals           Rs   2,000
  Food coupons                    Rs   2,200
  LTA (monthly accrual)           Rs   5,000
  Employer PF                     Rs   7,200   12% of basic
  Gratuity accrual                Rs   2,885   ~4.81% of basic
  Medical insurance premium       Rs   7,315
                                  _________
  TOTAL MONTHLY CTC               Rs 2,00,000

  Wages for PF  = Basic only      = Rs  60,000
  Employer PF   = 12% of 60,000   = Rs   7,200 / month
  Gratuity base = Basic           = Rs  60,000

  Excluded allowances as % of total remuneration:
    (2,00,000 – 60,000 – 7,200 – 2,885 – 7,315) = 1,22,600
    1,22,600 / 1,82,600 relevant remuneration  = ~67%

_____________________________________________________________

STRUCTURE B – "AFTER" (uniform wage definition applied)
_____________________________________________________________

  Under the Code on Wages, if excluded allowances exceed
  50% of total remuneration, the EXCESS is ADDED BACK to
  wages. So wages must be at least 50% of remuneration.

  Deemed wages    = 50% of relevant remuneration
                  = approx Rs 91,300 / month
                    (exact computation depends on which
                     components count – VERIFY)

  Employer PF     = 12% of 91,300  = Rs 10,956 / month
                    (up from Rs 7,200)
  Increase in PF  = Rs  3,756 / month = Rs 45,072 / year

  Gratuity base   = Rs 91,300 (up from Rs 60,000)
  Annual gratuity accrual at 15/26 days
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                  = 91,300 x 15/26 = Rs 52,673 / year
                    (up from Rs 34,615)
  Increase        = Rs 18,058 / year

  TOTAL ANNUAL COST INCREASE PER EMPLOYEE  ~ Rs 63,000

  AT 20 EMPLOYEES                          ~ Rs 12.6 lakh

CONSEQUENCES TO PLAN FOR
  1. If CTC is held constant, TAKE-HOME FALLS because more
     goes into PF. Employees will notice and complain.
  2. If take-home is held constant, EMPLOYER COST RISES.
  3. Gratuity provision in the balance sheet jumps, hitting
     reported profit in the transition year.
  4. For employees below the Rs 15,000 EPS wage ceiling the
     EPS portion is capped, so the whole increase flows to EPF.
  5. Communicate the change BEFORE the first affected payslip.

ALL FIGURES ILLUSTRATIVE. The exact definition of wages, the
excluded-allowance list, the percentage in the proviso, the
transitional provisions and the state rules must be confirmed
with your payroll consultant and against the Code on Wages,
2019 and your state's rules as notified. Position as at
FY 2025-26 / early 2026; state rules were still landing.
```

Books, Records and Retention

Three separate statutes tell you what records to keep and for how long, and they do not agree. The safe approach is to satisfy the strictest of them. This matters because the first question in any assessment, audit or due diligence is "show me", and "we changed accounting systems and lost it" is not an answer that helps you.

What each statute requires

Statute	Provision	What must be kept	Retention period
Companies Act, 2013	Section 128	Books of account, vouchers and other relevant books and papers giving a true and fair view, on accrual basis and double entry, kept at the registered office (or another place intimated to the ROC in AOC-5)	**8 financial years** immediately preceding the current year, or the period since incorporation if shorter. Longer if an investigation has been ordered
Income-tax Act, 1961	Section 44AA + Rule 6F	Cash book, journal, ledger, carbon copies of bills above a value, original bills and receipts for expenditure; additionally for specified professions, a daily case register	**6 years** from the end of the relevant assessment year. Longer where reassessment proceedings are pending
CGST Act, 2017	Section 35 + Rules 56–58	Register of production, inward and outward supplies, stock, ITC availed, output tax payable and paid, and the records of goods and services imported or exported	**72 months** (6 years) from the due date of furnishing the annual return for that year. Longer where an appeal or proceeding is pending — until one year after final disposal
Labour statutes	State rules under the Shops and Establishments Act and the Codes	Register of employment, register of wages, register of leave, muster roll, attendance	3–5 years typically, state-dependent
FEMA	RBI Master Directions	FIRC, BRC, FC-GPR acknowledgements, valuation reports, agreements for all cross-border transactions	As prescribed; in practice, permanently

✦ **The practical rule**

Keep everything for **eight years**, and keep incorporation documents, share certificates, statutory registers, minute books, FEMA filings and property documents **permanently**. Storage is cheap; reconstructing a GST reconciliation from 2021 is not.

Section 44AA — who must maintain books

Category	Requirement
Specified professions under Section 44AA(1) — legal, medical, engineering, architectural, accountancy, technical consultancy, interior decoration and notified professions	Must maintain the books prescribed by **Rule 6F** if gross receipts exceed **₹1,50,000** in any of the three preceding years
Any other business or profession	Must maintain such books as will enable computation of total income, where income exceeds **₹2,50,000** or turnover exceeds **₹25,00,000** in any of the three preceding years — thresholds vary by assessee type; **verify**
Persons declaring under **Section 44AD or 44ADA**	**Exempt** from maintaining books, provided they declare at or above the deemed rate
Companies and LLPs	Must maintain books under their own governing statute regardless
Penalty for failure	**Section 271A**: ₹25,000

Digital records and electronic maintenance

- ☐ Electronic maintenance of books is **permitted** under the Companies (Accounts) Rules 2014, provided the records remain accessible in India at all times, are retained completely and unaltered, are capable of being displayed in legible form, and a proper system for storage, retrieval and display exists
- ☐ A **backup** of the books maintained in electronic mode must be kept on servers physically located in India, and the company must intimate prescribed particulars to the ROC annually with AOC-4
- ☐ Audit trail (edit log) functionality in accounting software is mandatory for companies, with the feature enabled throughout the year and not disabled — **verify the current applicability date and scope on mca.gov.in**; this has been deferred more than once

- ☐ GST records may be maintained electronically; each entry must be authenticated by digital signature and no entry may be erased — incorrect entries must be scored out and corrected, with a log of every edit

- ☐ Invoices may be issued electronically; a digital signature is not required where issued through a system complying with the Information Technology Act

What an assessing officer will actually ask for

1. **Financial statements and audit reports**
   For the year under assessment and typically the two preceding years, for comparison.

2. **Ledger extracts for specific expense heads**
   Usually the ones with the largest year-on-year variance, plus professional fees, commission, travel, and any head with a round-figure total.

3. **Copies of invoices above a threshold**
   With proof of payment and evidence of services actually rendered — a contract, a deliverable, correspondence.

4. **Bank statements with narration**
   And a reconciliation explaining any credit not routed through sales.

5. **Party-wise details of major creditors and debtors**
   With PAN, and sometimes confirmations.

6. **Reconciliation of turnover**
   Between the financial statements, GSTR-1, GSTR-3B, GSTR-9, Form 26AS and the ITR. Mismatches here generate most small-business notices.

7. **TDS compliance evidence**
   Challans, returns, and justification for any payment on which TDS was not deducted.

8. **Related party transactions**
   With agreements and a justification that the pricing is commercially reasonable under Section 40A(2)(b).

9. **Details of loans and advances**
   Source of funds, creditworthiness of the lender, and genuineness of the transaction — the classic three tests under Section 68.

10. **Fixed asset additions**

Invoices, proof of installation and put-to-use date, for depreciation claims.

Notices, Assessments and Disputes

Receiving a notice is normal and is not an accusation. Most notices to small businesses are system-generated mismatches that take an hour to answer. The damage comes from not opening the email, missing the response deadline, and letting a ₹40,000 mismatch become a ₹4 lakh ex-parte demand with interest and penalty.

The common income tax notices

Notice	What it is	Typical trigger	Response window	What to do
Intimation u/s 143(1)	Automated processing of your return by the CPC	Arithmetical error, incorrect claim apparent from the return, TDS mismatch with Form 26AS	30 days to respond to a proposed adjustment	Compare line by line with your computation. If correct, pay. If wrong, file a rectification under Section 154 or respond on the e-proceedings tab
Defective return u/s 139(9)	Your return is treated as defective	Missing balance sheet or P&L where required, audit report not filed, tax not paid, mismatch in gross receipts	**15 days**, extendable on request	Rectify and re-file. If you do not, the return is treated as **never filed**
Notice u/s 142(1)	Inquiry before assessment	Return not filed, or the officer wants specific documents	As specified	Respond with the documents. Non-compliance can lead to best-judgment assessment under Section 144 and penalty under 272A(1)(d)
Notice u/s 143(2)	Your case is selected for **scrutiny**	Risk parameters, CASS selection, high-value transactions in AIS, large refund claim	Within the time limit specified	This is a full assessment. Engage your CA immediately. Compile a complete documentary file
Notice u/s 148 / 148A	Income escaping assessment / show-cause	Information flagged under the risk management	As specified in the 148A(b) notice	Respond at the **148A stage** with evidence. This is

	before reassessment	strategy, third-party data, audit objection		your best opportunity to stop a reassessment before it starts
Notice u/s 245	Intimation of set-off of a refund against an outstanding demand	An old demand sits on the portal, often one you never knew about	30 days	Check "Response to Outstanding Demand" on the portal. Dispute incorrect demands rather than letting refunds be adjusted
TDS default intimation	Short deduction, short payment, late payment or late filing	Processing of 24Q/26Q on TRACES	—	Download the **justification report** from TRACES, correct the challan mapping or PAN, and file a correction statement
Notice u/s 133(6)	Call for information	Often about a transaction with a third party under investigation — not necessarily about you	As specified	Provide the factual information requested. Do not ignore it because it seems unrelated

The common GST notices

Form	What it is	Trigger	Response
GSTR-3A	Notice to a non-filer	Failure to file GSTR-1, 3B, 4 or 9	File the return within 15 days, or face best-judgment assessment under Section 62
ASMT-10	Notice of discrepancy found in **scrutiny of returns** under Section 61	GSTR-1 vs 3B mismatch, 3B vs 2B ITC mismatch, GSTR-9 vs books, e-way bill vs GSTR-1	Reply in **ASMT-11** within 30 days, with reconciliation. If accepted, you receive **ASMT-12**. If not, proceedings move to Section 73 or 74
DRC-01A	Intimation of tax ascertained as payable, **before** a formal show-cause notice	Officer's pre-notice view	Pay and intimate in **DRC-03** to close it, or file Part B of DRC-01A disputing it. Paying at this stage attracts lower or nil penalty
DRC-01	Formal **show-cause notice** with a summary of the demand	Section 73 (non-fraud) or Section 74 (fraud, wilful misstatement, suppression)	Reply in **DRC-06** within the time specified. Section 74 carries far higher penalties — contest the characterisation
DRC-01B	Intimation of difference between liability declared in GSTR-1 and that paid in GSTR-3B	System comparison	Pay the difference or explain within 7 days. Unresolved, it blocks filing of the next GSTR-1
DRC-01C	Intimation of difference between ITC available in GSTR-2B and ITC claimed in GSTR-3B	System comparison	Reverse the excess with interest, or explain. Unresolved, it blocks the next GSTR-1
REG-17	Show-cause notice for cancellation of registration	Continuous non-filing, place of business not found, fraud	Reply in **REG-18** within 7 working days

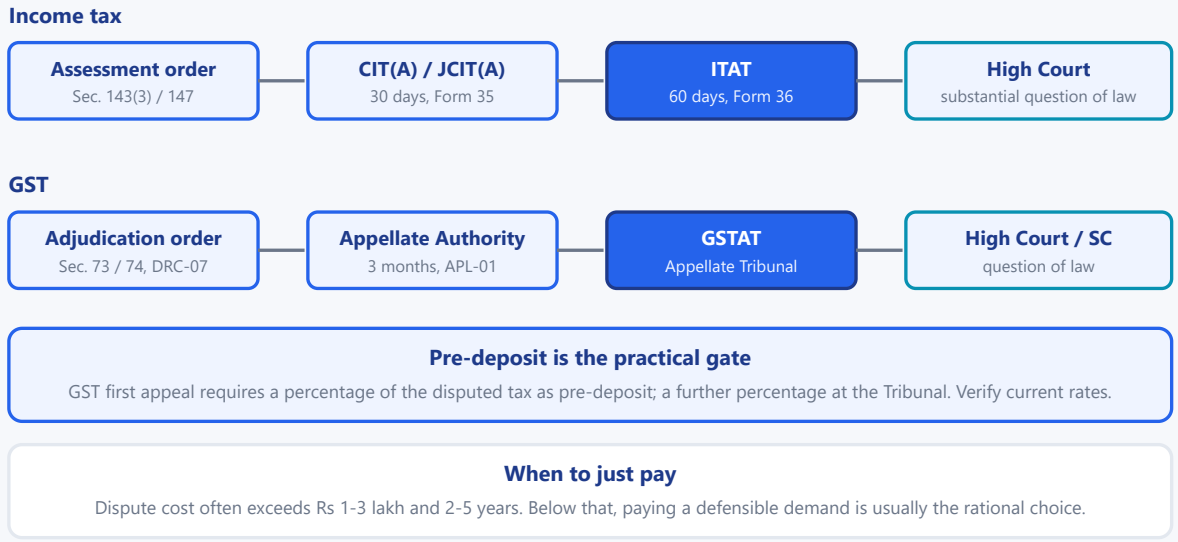
RFD-08	Show-cause notice for rejection of a refund claim	Deficiency, ineligibility, mismatch	Reply in **RFD-09** within 15 days
ADT-01	Notice of **departmental audit** under Section 65	Risk selection	15 days' notice before the audit; audit to be completed within 3 months, extendable. Findings in ADT-02

✕ **Section 73 versus Section 74 is the difference that matters most in a GST notice**
Section 73 covers demands not involving fraud: penalty is low, and nil if you pay tax with interest before the show-cause notice. **Section 74** covers fraud, wilful misstatement or suppression of facts: the limitation period is longer and the penalty can be **100% of the tax**. Officers sometimes invoke Section 74 where Section 73 is appropriate, because it extends the time limit. If your notice cites Section 74, the first thing your counsel should contest is the invocation itself — not just the quantum.

Faceless assessment

Aspect	How it works
Statutory basis	Sections 144B and 151A of the Income-tax Act, and the Faceless Appeal and Faceless Penalty Schemes
Principle	No physical interface with the assessing officer. Cases are allocated to a random National Faceless Assessment Centre unit; a different unit verifies, a third reviews
How you interact	Entirely through the **e-Proceedings** tab on incometax.gov.in. Notices arrive there and by email and SMS
Personal hearing	Available through **video conferencing** on request, at the discretion of the authority per the scheme
What to watch	Deadlines are short and strictly enforced. Extensions must be requested through the portal, in advance, with reasons. Responses must be complete in a single upload — there is no "I will bring the rest tomorrow"
Practical advice	Register a monitored email and mobile on the portal. Add an **authorised representative** so your CA also receives alerts. Check the portal weekly during any open proceeding

The appeal ladder



Two parallel ladders, similar shape. The economics of appealing are dominated by pre-deposit, professional fees and elapsed time, not by the merits.

How to respond to a notice — the standard method

1. **Read it the day it arrives**
   Identify the statute, the section, the assessment year or tax period, the exact issue, and the response deadline. Put the deadline in the calendar immediately.

2. **Verify it is genuine**
   Use the "Authenticate Notice/Order issued by ITD" utility on incometax.gov.in or check the reference number on gst.gov.in. There are phishing emails that mimic tax notices very well.

3. **Build the reconciliation before you write a word**
   Most notices are mismatches. Produce a table reconciling the department's figure to yours, line by line, with the reason for each difference.

4. **Decide the position with your CA**
   Three outcomes: we are right and can prove it; we are wrong and should pay; it is arguable and we need to weigh the cost.

5. **Write a short, factual reply**
   State the issue, state your position, attach the reconciliation and the supporting documents as a single indexed PDF. Do not argue emotionally and do not volunteer unrelated information.

6. **File within the deadline, through the portal**

Keep the acknowledgement. If you need more time, request an adjournment **before** the deadline, with a reason.

7 **If you lose and the amount is small, pay**
A ₹60,000 demand contested through two levels of appeal costs more in fees and time than it saves, even if you win.

8 **If the amount is large or the principle recurs, appeal**
A characterisation issue that will repeat every year — intermediary status, a classification dispute, a recurring disallowance — is worth fighting once.

Penalties and Consequences — Reference Table

A single place to look up what happens if you miss something. Use it to prioritise: not every deadline carries the same weight, and the ones with uncapped daily fees or director disqualification should always jump the queue.

⚠ **All amounts as at FY 2025-26 — verify before relying**
Penalty provisions are amended frequently and are often subject to amnesty schemes. Confirm on the relevant official portal.

Default	Provision	Consequence	Severity
Late filing of GSTR-1	Sec. 47, CGST Act	₹50 per day (₹20 nil), capped by turnover slab	Medium
Late filing of GSTR-3B	Sec. 47	₹50 per day (₹20 nil), plus **18% p.a. interest** on tax	Medium
Late filing of GSTR-9	Sec. 47(2)	₹200 per day, capped at a percentage of State turnover	Medium
Excess ITC claimed and utilised	Sec. 50(3)	**24% p.a.** interest plus demand	High
Not registering under GST when liable	Sec. 122(1)(xi)	₹10,000 or the tax evaded, whichever is higher	High
Issuing an invoice without supply, or supply without invoice	Sec. 122	₹10,000 or the tax involved, whichever is higher; prosecution above thresholds under Sec. 132	Severe
GST demand under Sec. 73 (non-fraud)	Sec. 73(9)	10% of tax or ₹10,000, whichever is higher. **Nil** if paid with interest before the show-cause notice	Medium
GST demand under Sec. 74 (fraud)	Sec. 74(9)	**100% of tax**; reduced if paid at earlier stages	Severe
Moving goods without an e-way bill	Sec. 129	Detention; tax plus penalty for release	High
Failure to deduct TDS	Sec. 201(1A)(i) + 40(a)(ia)	1% p.m. interest + **30% of expense disallowed**	High
TDS deducted but not deposited	Sec. 201(1A)(ii) + 276B	1.5% p.m. interest; **imprisonment 3 months to 7 years**	Severe
Late filing of TDS return	Sec. 234E + 271H	₹200 per day capped at the TDS amount, plus ₹10,000–₹1,00,000 penalty	Medium

Failure to deduct TDS on a payment to a non-resident	Sec. 40(a)(i)	**100% of the expense disallowed**	Severe
Late filing of income tax return	Sec. 234F + 234A	₹1,000 to ₹5,000 fee, plus 1% p.m. interest; **loss of the right to carry forward business losses**	High
Advance tax shortfall	Sec. 234B, 234C	1% per month on the shortfall	Medium
Under-reporting of income	Sec. 270A	**50%** of tax on under-reported income; **200%** if misreported	Severe
Failure to get accounts audited u/s 44AB	Sec. 271B	0.5% of turnover, maximum ₹1,50,000	High
Failure to maintain books	Sec. 271A	₹25,000	Medium
Cash receipt of ₹2 lakh or more	Sec. 269ST + 271DA	Penalty **equal to the amount received**	Severe
Cash payment above the limit for an expense	Sec. 40A(3)	Expense fully disallowed	High
Cash loan or deposit of ₹20,000 or more	Sec. 269SS + 271D	Penalty equal to the amount	Severe
Late filing of AOC-4	Sec. 137(3)	**₹100 per day, no cap**, plus penalty on the company and officers	High
Late filing of MGT-7	Sec. 92(5)	**₹100 per day, no cap**, plus penalty	High
Non-filing of financial statements or annual return for **3 continuous years**	Sec. 164(2)(a)	**Every director disqualified for 5 years, across all companies**; DIN deactivated	Severe
Failure to file DIR-3 KYC	Rule 12A	₹5,000 per DIN; DIN deactivated meanwhile	Medium
Failure to file INC-20A within 180 days	Sec. 10A	₹50,000 on the company; ₹1,000 per day per officer up	Severe

		to ₹1,00,000; possible **strike-off**	
Not printing CIN on letterhead and invoices	Sec. 12(8)	₹1,000 per day up to ₹1,00,000	Medium
Delay in depositing PF	Sec. 7Q + 14B, EPF Act	Interest plus **damages** levied as a percentage of arrears by period of default	High
Non-constitution of a POSH Internal Committee	Sec. 26, POSH Act	Fine; on repetition, cancellation of licence or registration	High
Late filing of FC-GPR	FEMA	Late Submission Fee; **compounding** with the RBI for material contraventions	High
Non-disclosure of foreign assets in Schedule FA	Black Money Act, 2015	Penalty of ₹10 lakh per year of non-disclosure, plus prosecution	Severe

Building the Compliance Stack

The objective is not to do compliance yourself. It is to build a system in which nothing is discovered late, the professionals you pay are given clean inputs, and you can answer any question about last month in under ten minutes. That is achievable for roughly ₹1 lakh a year and four hours of founder time a month.

In-house versus outsourced

Activity	Who	Why
Raising invoices and tracking receivables	**In-house**	You know the contract terms and the delivery status; nobody else can chase a client
Recording purchase bills and expenses	**In-house**, into accounting software	Cheap, fast, and it keeps you honest about burn
Bank reconciliation	**In-house**, weekly	Catches fraud, duplicate payments and missed receipts early
GSTR-2B reconciliation and vendor chasing	**In-house**, with CA review	Only you have the commercial leverage over a vendor who has not filed
GST return filing	**CA**	Judgement calls on classification, RCM, reversals and refunds
TDS computation, deposit and returns	**CA** or payroll provider	Section mapping and rate selection carry disallowance risk
Payroll processing, PF, ESIC, PT	**Payroll provider** or CA	Automatable; errors are visible to employees and damaging
Advance tax computation	**CA**, quarterly	Requires a view on the full year
Statutory audit	**CA (independent)**	Statutory; cannot be your bookkeeper
Income tax return and tax audit	**CA**	—
ROC filings, minutes, registers	**CS**	Certification required; registers must be defensible in diligence
FEMA filings, valuations, share allotments	**CS + valuer**	Specialist; errors require RBI compounding
Contract drafting and negotiation	**Lawyer**, with your commercial input	Templates are fine; bespoke indemnities are not

Your bookkeeper cannot be your statutory auditor

Section 144 of the Companies Act prohibits an auditor from rendering specified non-audit services to the company, including accounting and book-keeping, internal audit, actuarial services, investment advisory and management services. Many small companies use one CA firm for everything. That is a Section 144 problem and an independence problem, and it is a finding in diligence. Separate the auditor from the accountant.

Realistic professional fee ranges

Indicative metro rates, FY 2025-26

Fees vary enormously by city, firm size and complexity. Tier-2 and tier-3 city rates are often 40–60% of these. Always agree scope and fee in writing before engagement.

Service	Typical annual fee	Notes
Bookkeeping, up to ~100 transactions a month	₹18,000–₹60,000	Rises with transaction volume and multi-currency complexity
GST returns, monthly GSTR-1 + GSTR-3B	₹12,000–₹36,000	More if multi-state or heavy reconciliation
GSTR-9 and 9C	₹8,000–₹40,000	9C needs a reconciliation to audited accounts
GST refund application (RFD-01)	₹5,000–₹25,000 per claim	Sometimes charged as a percentage of the refund — negotiate a flat fee
TDS returns, four quarters, plus Form 16	₹8,000–₹24,000	—
Payroll processing	₹150–₹400 per employee per month	Includes payslips, PF, ESIC, PT
Income tax return — company (ITR-6)	₹8,000–₹25,000	—
Tax audit (3CA/3CB + 3CD)	₹15,000–₹60,000	Scales with turnover and complexity
Statutory audit of a small private company	₹20,000–₹60,000	Mandatory from year one
Transfer pricing study + Form 3CEB	₹50,000–₹2,50,000	Required if any international related-party transaction
ROC annual filings (AOC-4, MGT-7, ADT-1, DIR-3 KYC)	₹12,000–₹35,000	Plus government fees
CS retainer for minutes and registers	₹24,000–₹60,000	Often bundled with ROC filings
Valuation report (Rule 11UA / FEMA)	₹25,000–₹1,50,000	Per round or per event
FC-GPR filing	₹15,000–₹50,000	Per allotment
Representation in a scrutiny assessment	₹25,000–₹2,00,000	Depends on complexity and number of hearings

Realistic all-in for a 10-person services company	**₹1,50,000–₹3,50,000**	Excluding disputes and transactions

Document workflows that make this cheap

1. **One shared drive, one folder structure**
   By financial year, then by stream: `01-sales`, `02-purchases`, `03-bank`, `04-gst`, `05-tds`, `06-payroll`, `07-roc`, `08-contracts`, `09-fema`. Never let documents live only in someone's email.

2. **Every purchase bill goes into the drive the day it arrives**
   Named `YYYY-MM-DD_VendorName_Amount.pdf`. A rule in your email client can automate half of this.

3. **One invoice template, locked**
   Generated from your accounting software, not from a spreadsheet. Serial numbers assigned by the system, not by a human.

4. **Vendor master with GSTIN, PAN, TDS section and MSME status**
   Collected at onboarding, before the first payment. Verify the GSTIN on the portal and record the Udyam number if they are an MSME, because Section 43B(h) and MSME-1 both depend on it.

5. **A payment approval step that checks TDS**
   No payment leaves without someone confirming the TDS section and rate. This single control eliminates the most expensive category of error.

6. **A shared compliance calendar**
   With every recurring deadline, an owner, and a reminder three days before. Review it in a fifteen-minute monthly meeting.

7. **A single notices inbox**
   All portal registrations use one monitored address. Add your CA as an authorised representative so they get alerts too. Check it weekly.

8. **A quarterly review with your CA**
   Thirty minutes to review the P&L, the advance tax position, the ITC position and anything unusual. This is where problems are caught while they are still cheap.

Frequently Asked Questions

Specific answers to the compliance questions Indian technology founders ask most. Every answer is stated as at FY 2025-26 and should be confirmed against the official source named before you act on it.

I am a freelance developer with only US clients. Do I need to register for GST at all?

Strictly, registration is required under Section 22 once aggregate turnover exceeds ₹20 lakh (₹2,000,000) for services, and exports **count** towards aggregate turnover — export of services is a **zero-rated** supply, not an exempt one. Separately, if you pay any overseas vendor for services — a US cloud bill, an offshore contractor, foreign tooling — you are liable under reverse charge, and Section 24(iii) then makes registration compulsory **regardless of turnover**. In practice most services exporters register voluntarily even below the threshold, because it lets you file an LUT in Form RFD-11 and export without IGST, claim refund of input tax credit on your Indian expenses, and give your bank a clean documentary trail for FIRC and e-BRC. The cost is twenty-four returns a year. Verify your exact position with a CA and on **gst.gov.in**.

What happens if I forget to file the LUT in April?

You lose the right to export without paying IGST for the period until you file it. Every export invoice raised in the gap must carry IGST, which you pay out of cash and then reclaim as a refund under Rule 96 by filing RFD-01 with FIRC or BRC evidence. On ₹50 lakh of quarterly exports that is ₹9 lakh of working capital blocked for the weeks or months the refund takes. The LUT is valid for exactly **one financial year**, does not auto-renew, takes about ten minutes on gst.gov.in, needs two witnesses' details and a DSC or EVC, and costs nothing. Put "File LUT" in the calendar for the first working day of April, every year, permanently. If you have already missed it, file immediately — the LUT applies prospectively from filing, so the longer you wait the more invoices are caught.

I paid a freelancer ₹8 lakh last year and did not deduct TDS. How bad is it?

Expensive but recoverable. Under Section 194J you should have deducted 10%, i.e. ₹80,000. The consequences are: **30% of the expense disallowed** under Section 40(a)(ia), i.e. ₹2.4 lakh added back to your income (a tax cost of about ₹60,000 at the 25.17% company rate); you are an assessee-in-default for the ₹80,000 under Section 201(1); interest at **1% per month** from the date it was deductible under Section 201(1A); a late-filing fee of ₹200 per day for the unfiled 26Q under Section 234E, capped at the TDS amount; and a possible penalty under Section 271C. The mitigation: if the freelancer has **already included the income in their return and paid tax on it**, you can obtain a certificate from their CA in **Form 26A**, which relieves you of the Section 201(1) demand and restores the Section 40(a)(ia) deduction. Chase that certificate now. Then fix the process: no payment leaves without a TDS check.

Section 44AD or 44ADA — which applies to a software developer?

This matters enormously, because 44ADA deems 50% of receipts to be income while 44AD deems only 6% (for digital receipts). Section 44ADA applies to professions listed in **Section 44AA(1)**, which includes "technical consultancy" and notified information technology professionals. A consultant providing bespoke technical advisory and development work is commonly treated as covered by 44ADA. A business that resells licences, operates a SaaS subscription product, or runs a development agency with salaried staff looks far more like a **business** under 44AD, where the gross receipts limit is ₹2 crore (₹3 crore with ≤5% cash) rather than ₹50 lakh (₹75 lakh with ≤5% cash). There is genuine ambiguity and the characterisation has been litigated. Take a written view from your CA for your facts, document the reasoning, and be consistent year on year. Also remember 44AD carries a **five-year lock-in** on opting out; 44ADA does not.

My client deducted TDS but it is not showing in my Form 26AS. What do I do?

You cannot claim credit for TDS that is not reflected in Form 26AS or the AIS, because the credit is granted from the department's own records. The usual causes are: the client deducted but has not yet filed the quarterly return; they filed but entered your PAN incorrectly; or they deducted and did not deposit. Steps: ask the client for the **TDS certificate (Form 16A)** downloaded from TRACES, which proves they filed and in what quarter; if the PAN is wrong, ask them to file a **correction statement** on TRACES — this is routine and takes them a few days; if they deducted and did not deposit, you have a commercial problem, because the department will pursue them but will not give you credit until it is deposited. Do not file your return claiming credit that is not in 26AS; you will receive a Section 143(1) adjustment. If the timing is tight, file on time without the credit and file a rectification under Section 154 once it appears.

We are a two-person company with no revenue yet. What do we still have to file?

More than you expect, and the fact of zero revenue reduces almost none of it. You must: hold board meetings (two a year if you are a small company, four otherwise); hold an AGM within six months of the financial year end; get a **statutory audit** done — mandatory for every company at any turnover; file **AOC-4** within 30 days of the AGM and **MGT-7A** within 60 days; file **ADT-1** for the auditor; file **DIR-3 KYC** for every director by 30 September; file **DPT-3** by 30 June (director loans and share application money are reportable even if not deposits); file a **nil income tax return** in ITR-6; file **nil GST returns** every month if registered; and file **INC-20A** if you are within 180 days of incorporation. Realistic annual cost: ₹45,000 to ₹80,000. If the company will stay dormant, consider applying for **dormant status in Form MSC-1** under Section 455, which reduces this materially.

Do I really have to pay GST under reverse charge on my AWS and SaaS bills?

If the invoice is issued by a foreign entity with no Indian GSTIN, it is an **import of services** and you are liable under reverse charge at 18%, payable **in cash** — you cannot use your input credit balance for it. You must also issue a **self-invoice** under Section 31(3)(f) and a payment voucher under Rule 52. You then claim the tax back as input tax credit if the service is an eligible business input, which cloud and tooling normally are. Check each vendor's invoice carefully: many large providers now bill Indian customers from an **Indian entity with an Indian GSTIN**, in which case it is ordinary forward charge and no RCM arises. The ones that still bill from offshore are the ones to watch. For a pre-revenue

startup with heavy overseas tooling spend, this creates real cash outflow against credit you may not be able to use — model it before signing a large contract. Verify the current reverse-charge notification on **gst.gov.in**.

Should I pay myself salary or dividend from my own company?

Salary, in almost every case, because it is **deductible to the company** so the money is taxed once, whereas dividend is paid from post-tax profit and taxed again in your hands — an effective combined burden that can approach 43% at higher slabs versus about 26% for salary. Three constraints. First, the salary must be commercially justifiable for the work actually done; Section 40A(2)(b) lets the officer disallow excessive payments to related parties. Second, salary attracts PF if the company is covered, professional tax, and gratuity accrual. Third, if you want to **retain** profit inside the company for growth, paying it all out as salary defeats that. A blended structure — salary plus market-rate rent if you own the premises plus a modest dividend — is often optimal, and rent carries a 30% standard deduction under the house property head. Model it with your CA against both the old and new personal regimes.

What is the difference between a tax audit and a statutory audit, and do I need both?

They are different statutes with different triggers. A **statutory audit** is required by Sections 139–148 of the Companies Act for **every company**, every year, from the first financial year, regardless of turnover, profit or activity. A **tax audit** is required by Section 44AB of the Income-tax Act only when turnover exceeds ₹1 crore for a business (raised to **₹10 crore** where cash receipts and cash payments are each ≤5% of the total — which is true of almost every software business) or ₹50 lakh for a profession (₹75 lakh under the same cash condition). So: a company with ₹5 lakh of revenue needs a statutory audit and no tax audit. A proprietorship with ₹3 crore of digital-only turnover needs neither, because the ₹10 crore relaxation applies and there is no Companies Act. A company with ₹12 crore of turnover needs both — and the tax audit report is then filed in Form 3CA plus 3CD rather than 3CB plus 3CD.

I received an ASMT-10 notice about a GSTR-3B versus GSTR-2B mismatch. How worried should I be?

Not very, if you respond properly and on time. ASMT-10 is a scrutiny notice under Section 61 pointing out a discrepancy; it is not a demand. The usual cause is that you claimed input tax credit on invoices that had not appeared in your GSTR-2B at the time, because a vendor filed late. Build a clear reconciliation table: for each disputed invoice, show the vendor GSTIN, invoice number and date, the amount, the month you claimed it, and the month it subsequently appeared in your 2B. Attach the invoices. File your reply in **ASMT-11 within 30 days**. If the officer accepts it, you receive **ASMT-12** and the matter closes. If you ignore it, proceedings escalate to a show-cause notice under Section 73 or, worse, Section 74 with a 100% penalty. The real lesson is procedural: claim only what is in 2B in the month it is in 2B, and carry the rest forward with a tracking list.

How much should I budget for compliance in year one?

For a **proprietorship** with GST registration and presumptive taxation: ₹12,000 to ₹45,000 a year — GST returns, an ITR, light bookkeeping, no audit. For an **LLP** below the audit thresholds: ₹25,000 to ₹70,000 — add Form 8 and Form 11 and a heavier bookkeeping requirement. For a **Private Limited Company**: ₹55,000 to ₹1,50,000, dominated by the mandatory statutory audit (₹20,000–₹60,000) and the six annual ROC forms. Once you hire, add payroll processing at roughly ₹150–₹400 per employee per month plus PF, ESIC and professional tax filings. Once you have any overseas group entity, add a transfer pricing study and Form 3CEB at ₹50,000 to ₹2.5 lakh. These are metro rates; tier-2 cities are often 40–60% of them. Agree scope and fees in writing before engaging anyone.

My company has outstanding payments to a small vendor beyond 45 days. What is the actual consequence?

Two separate consequences, both real. First, under **Section 43B(h)** of the Income-tax Act, a payment due to a registered **micro or small** enterprise is deductible only in the year of **actual payment**, unless paid within the time limit under Section 15 of the MSMED Act 2006 — 45 days where there is a written agreement, 15 days where there is not. So the expense is disallowed in the current year and allowed only when you pay, which can push a loss-making year into a taxable one. Second, under Section 405 of the Companies Act you must file **Form MSME-1** half-yearly, by 30 April and 31 October, disclosing all amounts outstanding to micro and small enterprises for more than 45 days, with reasons. The vendor can also file on **MSME Samadhaan** and recover compound interest at three times the RBI bank rate. Collect Udyam numbers from every vendor at onboarding and flag micro and small suppliers in your payables ageing.

Can I claim input tax credit on my team's lunch, employee health insurance and the company car?

Generally no, on all three. Section 17(5) blocks credit on **food and beverages and outdoor catering** under clause (b)(i), on **motor vehicles** for transport of persons with seating capacity up to 13 under clause (a) and on their insurance, servicing and maintenance under clause (ab), and on **club and fitness memberships** under clause (b)(ii). There is one meaningful exception: where the employer is **obligated under any law for the time being in force** to provide the benefit to employees, credit is available — but this exception is narrow and should not be assumed without a written view. Health insurance for employees was blocked for most of GST's life; the position where it is legally mandated has been argued. **Confirm the current text of Section 17(5) and the applicable circulars with your CA.** What you **can** claim: cloud and hosting, Indian-billed software subscriptions, commercial office rent, laptops and hardware, professional fees, recruitment fees, Indian-billed advertising, telecom and internet.

What single compliance failure causes the most damage to small Indian companies?

Not filing ROC annual returns. Missing AOC-4 and MGT-7 accrues additional fees at **₹100 per day per form with no upper cap** — roughly ₹73,000 per form over two years — and at **three continuous financial years** of non-filing, Section 164(2)(a) disqualifies **every director for five years across all companies**, deactivating their DIN. Founders discover this when they try to incorporate their next venture and cannot. The second most damaging is TDS: failure to deduct disallows 30% of the

expense under Section 40(a)(ia) (100% for non-residents under Section 40(a)(i)) and, where tax was deducted but not deposited, Section 276B carries rigorous imprisonment from three months to seven years. The third is losing input tax credit to the Section 16(4) deadline, which is pure, unrecoverable cash. All three are calendar problems, not knowledge problems.

The Income-tax Act, 2025 replaces the 1961 Act from April 2026. What should I actually do about it?

Four practical things. **One:** ask your CA, in writing, for a mapping of the provisions you rely on — 44ADA, 115BAA, 194J, 40(a)(ia), 43B(h), 80JJAA — to their equivalents in the new Act, and keep it with your tax file. **Two:** understand the **"tax year"** concept, which replaces the previous-year and assessment-year pair with a single unified period; this changes how returns, due dates and notices are referenced, and will affect your compliance calendar labels and your accounting software's tax configuration. **Three:** re-verify any **irrevocable election** you have made or plan to make, particularly Section 115BAA, and how it carries over. **Four:** do not assume continuity of thresholds, rates or forms; re-check every number in your tax model against the new Act and the first Finance Act under it before you file. Authoritative source: **incometax.gov.in**. Treat everything in this guide that cites a 1961 Act section as needing that mapping.

The Annual Compliance Calendar

A month-by-month calendar for a Private Limited Company with employees, GST registration and a 31 March financial year end. Monthly recurring items are listed once at the top and then assumed; the table shows what is **additional** in each month.

Every month, without exception

Day	Obligation	Form / portal
1–5	Close the previous month: bank reconciliation, record all sales and purchase invoices, compute payroll	Accounting software
7	Deposit TDS deducted in the previous month (30 April for March deductions)	Challan ITNS-281, incometax.gov.in
11	File GSTR-1 for the previous month (13th for QRMP IFF)	gst.gov.in
13–14	Download and reconcile GSTR-2B against the purchase register; chase defaulting vendors	gst.gov.in
15	Deposit EPF via ECR and ESIC contributions for the previous month	epfindia.gov.in, esic.gov.in
20	File GSTR-3B and pay net GST (22nd or 24th for QRMP, by state group); pay RCM in cash	gst.gov.in
20–30	Professional tax deposit and return, where the state requires monthly filing	State commercial tax portal
25	PMT-06 payment for QRMP taxpayers, months 1 and 2 of each quarter	gst.gov.in
Month end	Raise all invoices for the month; review receivables ageing; review payables ageing for MSME vendors beyond 45 days	Internal

Month by month — what is additional

Month	Additional obligations	Forms
April	**File the LUT for the new financial year — do this first.** File MSME-1 for the October–March half-year by 30 April. Deposit March TDS by 30 April. Begin the year-end close. Decide on QRMP opt-in or opt-out for the new year. Review the Udyam status of all vendors.	RFD-11, MSME-1, ITNS-281
May	File the Q4 TDS returns (24Q, 26Q, 27Q) by 31 May. LLPs file **Form 11** annual return by 30 May. Finalise draft financial statements with the auditor. Compute the gratuity provision.	24Q, 26Q, 27Q, LLP Form 11
June	**First advance tax instalment — 15% by 15 June.** Issue **Form 16** to all employees by 15 June. Issue Form 16A for Q4 by mid-June. File **DPT-3** by 30 June for the year ended 31 March. Board meeting for Q1.	ITNS-280, Form 16, Form 16A, DPT-3
July	**FLA return to the RBI by 15 July** if the company has FDI or ODI. File Q1 TDS returns by 31 July. Income tax return due 31 July for non-audit cases. Complete the statutory audit fieldwork.	FLA, 24Q/26Q, ITR
August	Issue Form 16A for Q1. Finalise audited financial statements. Prepare the Directors' Report, including the POSH disclosure and the conservation-of-energy and foreign-exchange particulars.	Form 16A
September	**Second advance tax instalment — 45% cumulative by 15 September. Tax audit report by 30 September. DIR-3 KYC for every director by 30 September.** Hold the **AGM** by 30 September. Board meeting for Q2. Approve and adopt the accounts.	ITNS-280, 3CA/3CB + 3CD, DIR-3 KYC
October	**AOC-4 within 30 days of the AGM.** Income tax return by 31 October for audit cases. **Form 3CEB by 31 October** if there are international related-party transactions. **MSME-1 for April–September by 31 October.** File Q2 TDS returns by 31 October. LLPs file **Form 8** by 30 October.	AOC-4, ITR-6, 3CEB, MSME-1, LLP Form 8
November	**MGT-7 or MGT-7A within 60 days of the AGM.** Issue Form 16A for Q2. **Statutory bonus payable by 30 November** under the Payment of Bonus Act. **Last date to**	MGT-7/7A, Form 16A

	claim ITC for the previous financial year — 30 November under Section 16(4). **Last date to issue credit notes with GST adjustment for the previous financial year.**	
December	**Third advance tax instalment — 75% cumulative by 15 December. GSTR-9 and GSTR-9C for the previous financial year by 31 December.** Board meeting for Q3. Belated or revised income tax return deadline — **verify the current date**.	ITNS-280, GSTR-9, GSTR-9C
January	File Q3 TDS returns by 31 January. Begin year-end tax planning: review the advance tax position against actual profit, plan capital expenditure, review Section 80JJAA eligibility for new employees.	24Q/26Q
February	Issue Form 16A for Q3. Collect investment proofs from employees for final Section 192 computation. Review the salary TDS shortfall and adjust February and March deductions.	Form 16A
March	**Final advance tax instalment — 100% by 15 March. Single instalment by 15 March for 44AD/44ADA taxpayers.** Pay all statutory dues before 31 March to secure the Section 43B deduction. **Settle MSME vendor payments to avoid Section 43B(h) disallowance.** Physical verification of inventory and fixed assets. Board meeting for Q4. Close the books.	ITNS-280

⚠ **Verify every date each year**

Due dates above reflect the position as at FY 2025-26. CBDT and CBIC extend income tax, tax audit, GSTR-9 and GSTR-9C deadlines frequently, and MCA issues relaxation circulars. The Income-tax Act, 2025 from 1 April 2026 may change the structure of due dates along with the "tax year" concept. Check **incometax.gov.in**, **gst.gov.in** and **mca.gov.in** before each filing.

Monthly closing checklist

BOOKS AND BANK

- ☐ Bank statements downloaded for every account and reconciled to the ledger, with every unreconciled item explained

- [ ] All sales invoices for the month recorded; invoice series verified as consecutive with no gaps; any cancelled numbers recorded as cancelled
- [ ] All purchase bills recorded and filed in the shared drive with the standard naming convention
- [ ] Petty cash counted and reconciled; cash payments confirmed to be within Section 40A(3) limits
- [ ] Credit card and expense claims reconciled and approved
- [ ] Foreign currency transactions recorded at the correct rate with the basis documented
- [ ] Prepaid expenses, accruals and provisions passed
- [ ] Depreciation entry passed for the month
- [ ] Inter-company and director-account balances reviewed and agreed

GST

- [ ] Output tax computed and agreed to the sales register, split correctly between CGST+SGST and IGST by place of supply
- [ ] Zero-rated export invoices tagged, with the LUT reference quoted on each
- [ ] Reverse charge liability identified on every overseas vendor invoice; self-invoices and payment vouchers issued
- [ ] GSTR-2B downloaded and reconciled line by line to the purchase register
- [ ] Vendors missing from 2B listed and chased, with payment withheld where the contract permits
- [ ] Blocked credits under Section 17(5) identified and excluded
- [ ] Rule 42/43 reversal computed where there are exempt supplies
- [ ] 180-day ageing reviewed on unpaid purchase invoices on which ITC was claimed
- [ ] Invoices approaching the Section 16(4) deadline flagged and escalated
- [ ] GSTR-1 filed by the 11th; GSTR-3B filed and paid by the 20th; RCM paid in cash

TDS AND PAYROLL

- [ ] Every vendor payment reviewed for the applicable TDS section and rate before release

- [ ] PAN collected and validated for every payee; Section 206AA higher rate applied where PAN is absent
- [ ] Section 195 and Form 15CA/15CB considered for every overseas remittance
- [ ] TDS deposited by the 7th with correct section codes and assessment year on the challan
- [ ] Payroll processed; payslips issued; Section 192 TDS computed on the annual estimate
- [ ] EPF ECR uploaded and challan paid by the 15th; exit dates marked for leavers; UAN created for joiners
- [ ] ESIC contribution paid by the 15th
- [ ] Professional tax deducted, deposited and returned per state requirement

REVIEW AND GOVERNANCE

- [ ] Management P&L and cash flow reviewed against budget
- [ ] Receivables ageing reviewed; anything beyond 45 days escalated
- [ ] Payables ageing reviewed; **MSME vendors beyond 45 days** flagged for Section 43B(h) and MSME-1
- [ ] Advance tax position reviewed against year-to-date profit, annualised
- [ ] Compliance calendar reviewed for the next 60 days; owners confirmed
- [ ] Notices inbox checked; every open proceeding has a tracked next date
- [ ] Board meeting held and minuted if due; statutory registers updated for any change
- [ ] Any share allotment, director change, address change or charge creation filed within its 15- or 30-day window

Final reminder

Everything in this guide is stated as at **FY 2025-26 / early 2026** and is educational material, not legal, tax or accounting advice. The **Income-tax Act, 2025** takes effect from 1 April 2026 and renumbers and restructures the provisions cited here, introducing the unified "tax year" concept. The **GST rate rationalisation of September 2025** moved the structure to principally 5% and 18% slabs with a 40% demerit rate. The **four Labour Codes** were brought into force from late 2025 with state rules still being notified, changing the definition of "wages" and therefore PF, gratuity and bonus computations. The **DPDP Act 2023 Rules** notified in late 2025 carry phased compliance deadlines. Before you file, claim, deduct, pay or restructure anything, confirm the current position on **incometax.gov.in**, **gst.gov.in**, **mca.gov.in**, **tdscpc.gov.in**, **epfindia.gov.in**, **esic.gov.in** and your state's portals, and engage a qualified Chartered Accountant and Company Secretary for your specific facts.